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IT Hardware | North America

The Enterprise Compute Shortage - Pull-Forward or 1Paradigm Shift?

WHAT'S CHANGED		
IBM (IBM.N)	From	To
Price Target	\$225.00	\$267.00
CDW Corporation (CDW.O)		
Rating	Equal-weight	Overweight
Price Target	\$142.00	\$170.00
Dell Technologies Inc. (DELL.N)		
Price Target	\$448.00	\$477.00
Ingram Micro (INGM.N)		
Price Target	\$27.50	\$33.00
TD Synnex Corporation (SNX.N)		
Price Target	\$271.00	\$341.00

DELL and HPE earnings illustrate how inelastic compute demand is today despite significant price increases. While we’re not yet “all in” on durability of this trend, Street estimates for ‘26/’27 look too low. Raising server market TAM to \$800B+ and EPS estimates 5-6% for compute exposed names.

Key Takeaways

- Enterprise server demand is proving far more inelastic than expected amidst compute shortages, refresh activity, and growing AI-related infrastructure needs.
- While we're not yet calling a multi-year “Enterprise Server Renaissance,” evidence suggests Street ests for compute-exposed names are too low in CY26-CY27.
- We raise our server TAM forecast to \$809B in CY26 (+82% Y/Y) and now expect robust server revenue growth to sustain through 2027.
- We prefer OW-rated SNX and upgrade CDW to OW, viewing both as most attractive ways to capture server demand upside.
- See material earnings upside at DELL and HPE, but at premium valuations vs. history (DELL moreso than HPE) want to gain comfort with duration debate first.

"When the facts change, I change my mind." - John Maynard Keyes

Raising our estimates and price targets across our enterprise-server related coverage; OW-rated SNX is our most-preferred way of playing this theme, but also upgrading CDW to OW (from EW). While once-in-a-generation memory inflation ([Global Technology: Chipflation – Navigating A Memory Crisis](#)) is creating challenges across Hardware markets, compute is bucking this trend. Spillover

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IT HARDWARE	
North America	
Industry View	Cautious

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refresh from '25, enterprise pull-forward, OEM supply scarcity and share gains, and more on-prem inferencing moving into production (with a focus on data security) are driving inelastic enterprise demand, with the Server TAM now expected to grow over 80% Y/Y in '26, to \$809B. To be clear, we are not yet calling for a multi-year "Enterprise Server Renaissance" or inflection point, as our checks do not yet support this. However, enough enterprise server refresh activity is occurring at significantly higher prices that we believe the market is underestimating server revenue growth in 2026 and 2027, leading us to raise our revenue and EPS forecasts by 3-5%, on average, for our 6 enterprise compute exposed names (CDW, DELL, HPE, IBM, INGM, and SNX). Until we gain more comfort on the sustainability of this enterprise server refresh, we prefer not to chase EW-rated DELL and HPE, even as we believe Street numbers are too low for both names. Rather, we express a more positive view via OW-rated SNX, and CDW, which we upgrade to Overweight from Equal-weight.

The arguments for and against the 'Enterprise Server Renaissance'. The debate on the impact of Agentic AI and emerging on-prem inferencing workloads on enterprise compute demand, both in magnitude and longevity, remains open. We are conducting real-time surveys to help inform this, and outline the current arguments for and against below.

- The Bull View: This time is different. Agentic AI and on-prem inferencing are driving an inflection in enterprise server demand.** The combination of compute scarcity in the cloud, a growing mix of AI workloads moving into production (i.e. rising tide lifts all boats), adoption of smaller language models, the risk of security breaches in the cloud, rising token costs, [hybrid collaborations with leading LLM labs](#), and a greater need for CPU orchestration is causing companies to rethink how much AI inferencing should be done in the cloud vs. on-premise. Per DELL and HPE, server orders in the April quarter grew triple digits Y/Y (i.e. 100%+), reflecting this demand. As more companies realize that (1) bringing compute to data rather than the data to compute, (2) adopting smaller, open-source models, and (3) managing the risks associated with data privacy on-prem can be more cost-effective and secure in the long-run, enterprise AI demand should continue to strengthen. Historically, server demand elasticity is close to 0.3, signaling that even at materially higher prices, these tailwinds *could* lead to an inflection in enterprise server unit growth and strong pricing that supports profitability and a multi-year enterprise server demand upcycle.
- The Bear View: Enterprise Server strength is a function of record price hikes, large-enterprise pull-forward and supply scarcity; durability of this trend is remains unclear.** Over the last 10 years, enterprise server units have grown at just a ~1% CAGR, as more favorable and flexible economics in the cloud drove ongoing workload shifts to AWS, Azure and GCP. These factors are unlikely to change, even in an AI-world, and the strength we are seeing in enterprise servers today is primarily a function of spillover refresh activity from 2025, early adopters, and large enterprise pull-forward, rather than something more sustainable. There is no denying the near-term strength in server order growth, but (1) CIO Surveys don't indicate a meaningful or broad-based inflection in enterprise server budgets while still pointing to accelerating workload shift to the cloud, (2) channel checks suggest large

enterprise pull-forward is an increasing factor in server strength, (3) the OEMs themselves remain uncertain on durability (i.e. unwilling to guide beyond 2027), and (4) most AI tools remain cloud-native. Once this rush of inelastic orders subsides, demand should become more elastic, the cycle should turn, and enterprise server units and pricing are likely to face a multi-quarter downcycle.

Where we stand on this debate. We find ourselves believing the truth is somewhere in between the cases above. There are clearly server refreshes ongoing, more AI workloads are running on-prem via smaller (non-frontier) models, security is a growing pain point for large enterprises, new tools allow for cloud-native AI products to run on-prem (i.e. DELL/CODEX partnership), and cloud economics are not always more favorable than running on-prem. However, supply shortages and fast-rising prices are also causing large enterprises to accelerate purchases. In some cases, large enterprises are pulling-forward much of their 2026 and 2027 compute orders into 2026, with server OEMs shrinking re-quoting windows and forcing customers to accelerate decision making, which is exacerbating this trend. The challenge is that our checks indicate on-prem compute budget inflation is becoming unsustainable, and workarounds are being considered in real time. This suggests the current trend is unlikely to sustain, but it's unclear whether the breaking point is two quarters or two years away. Until our checks or survey work indicate a clearer trend, our hypothesis is that enterprise server revenue growth will remain stronger than expected for at least 2026 and 2027 - where we model server replacement cycles at near-20-year lows. Beyond that, visibility is limited and the risk of the cycle turning increases.

How this impacts our industry and company forecasts. First, we are raising our Server industry forecast, and now expect 22% Y/Y unit growth, and an \$809B TAM (+82% Y/Y, with traditional servers at \$442B) in CY26, with the TAM increasing to \$1.3T (+64% Y/Y, with traditional server revenue up 20% Y/Y) in CY27. Second, we are raising our server revenue forecasts in 2026 and 2027 for CDW, DELL, HPE, IBM, INGM and SNX, resulting in an average 5% increase to CY26/CY27 revenue and an average 3-5% increase to CY26/CY27 EPS. DELL is an outlier in this group as our DELL AI server checks also continue to strengthen (T2 CSP driven), and we now forecast \$91B of DELL AI server revenue in CY26/FY27 (up from \$67B). For CY28, we make very limited changes to our forecasts. Overall, our revenue estimates are now 5-6% above Street in 2026/2027, with EPS now 4-5% above Consensus. At the vendor-level, we are most above-Consensus on DELL (11-21% above), SNX (3-12% above) and HPE (1-4% above).

OW-rated SNX is our most-favored way of capturing strength in server demand and pricing; and we upgrade CDW to OW (from EW) as an enterprise server beneficiary/laggard play. We are OW/EW all of our compute coverage, but prefer to express our more-positive server market outlook via OW-rated SNX and CDW.

Why SNX? As the world's largest distributor, SNX should benefit from stronger enterprise compute demand/a larger Server TAM. More importantly, SNX's Hyve subsidiary builds/designs server racks/data center infrastructure for the five largest global hyperscalers (three of which inorganically ramp in 2H26/2027), meaning SNX has the broadest exposure to compute (both on-prem and cloud) across our entire

coverage. We'd also highlight SNX recently issued over 3M warrants to AMZN, historically a bullish signal of long-term partnerships. At 16x our new \$21.33 FY27 EPS (12% above Consensus) we believe shares are still undervalued vs. our new \$341 price target, and see earnings on June 25th as the next potential positive catalyst for the stock (see more on our broader OW thesis here: [An Underappreciated Cloud Capex Play? We Believe So](#)). **Why CDW?** Our upgrade to OW is driven by four key factors: (1) CDW has been the clear laggard of the group, though we believe the "IT disruption" thesis is overstated and positive estimate revisions and a return to operating leverage in 2H26 should dispel this concern, (2) over 20% of CDW's revenue comes from servers, storage and networking, where demand trends are stronger than we previously modeled, (3) the company is sounding constructive, recently pointing to double digit EPS growth, ahead of Consensus, leadership is buying stock in the open market, and the company announced an incremental \$1B buyback authorization in late May, representing upside to official guidance, and (4) shares are trading at a material discount to history. Our new \$170 PT implies 14x our new CY27 EPS of \$12.15 (4% above Street).

Why not be Overweight DELL and HPE if our estimates are that far above Street? We admittedly missed the run-up in these stocks earlier this year, and while we see clear upside to estimates in CY26/27, we are also more valuation sensitive with these names. For example, DELL shares now trade at ~18x our new CY27/FY28 EPS of \$23.83 vs. the 2023-2025 average of 11x. For HPE, shares trade at a more-reasonable ~12x our new FY27 EPS of \$4.17. Nevertheless, history shows that during upcycles, valuation multiples can begin to contract well-before EPS revisions stall, as the market anticipates the risk of "peak" earnings. Until we gain more comfort in the durability of this server cycle, we believe it's more prudent to remain EW-rated, for now.

Signposts we are closely tracking to take a stronger stance on the enterprise server debate. (1) We are in the market with a survey to better understand the degree of enterprise server pull-forward vs. demand sustainability, pricing sensitivity, and the mix of on-prem inferencing workloads. The feedback from this survey will be critical in dictating our future stance on enterprise compute; (2) our quarterly AlphaWise CIO survey, specifically how enterprise hardware budgets are being revised, how spending compares vs. historical cycles, and which IT Hardware projects CIOs are prioritizing; (3) our monthly VAR checks, providing real-time feedback on server pull-forward vs. demand sustainability and elasticity; (4) real-time memory spot and contract pricing, as well as server component supply, which will influence server pricing and revenue vs. backlog trends; and (5) how IT procurement consulting firms are communicating purchasing trends to hardware buyers.

Exhibit 1: We are raising our CY26 revenue/EPS estimates by 4-5%, on average.

Company	CY26 Revenue (\$B)					CY26 EPS				
	New	Old	% Chng	Consensus	% vs Cons	New	Old	% Chng	Consensus	% vs Cons
CDW	\$24.0	\$22.2	8.5%	\$23.5	2.3%	\$10.97	\$10.17	7.8%	\$10.71	2.4%
Dell*	\$205.1	\$179.0	14.6%	\$188.9	21.4%	\$20.73	\$19.67	5.4%	\$17.95	15.5%
HPE	\$46.0	\$45.5	1.0%	\$44.9	2.4%	\$3.45	\$3.44	0.2%	\$3.41	1.2%
IBM	\$72.3	\$71.8	0.6%	\$71.5	1.2%	\$12.43	\$12.33	0.8%	\$12.43	0.0%
Ingram Micro	\$56.9	\$55.9	1.9%	\$56.5	0.8%	\$3.25	\$3.17	2.7%	\$3.28	-0.9%
TD Synnex	\$70.2	\$67.6	3.9%	\$68.3	2.9%	\$17.80	\$17.09	4.1%	\$17.04	4.5%
Average			5.3%		5.6%			3.4%		3.7%
Median			1.9%		2.3%			2.7%		1.2%

*FY28

Source: FactSet, Morgan Stanley Research

Exhibit 2: Our CY27 revenue and EPS estimates move ~5%, higher on average.

Company	CY27 Revenue (\$B)					CY27 EPS				
	New	Old	% Chng	Consensus	% vs Cons	New	Old	% Chng	Consensus	% vs Cons
CDW	\$24.6	\$22.7	8.3%	\$24.3	1.1%	\$12.15	\$11.10	9.4%	\$11.68	4.0%
Dell*	\$229.6	\$214.0	7.3%	\$192.5	19.2%	\$23.83	\$22.40	6.4%	\$21.57	10.5%
HPE	\$51.8	\$50.9	1.7%	\$49.8	4.0%	\$4.17	\$4.16	0.3%	\$4.01	4.1%
IBM	\$74.5	\$74.2	0.4%	\$74.6	-0.1%	\$13.15	\$13.07	0.6%	\$13.39	-1.8%
Ingram Micro	\$57.4	\$55.8	3.0%	\$58.1	-1.2%	\$3.79	\$3.62	4.8%	\$3.67	3.3%
TD Synnex	\$79.3	\$73.0	8.6%	\$73.1	8.6%	\$21.33	\$19.39	10.0%	\$19.07	11.8%
Average			4.9%		5.3%			5.3%		5.3%
Median			5.1%		2.5%			5.6%		4.1%

*FY28

Source: FactSet, Morgan Stanley Research

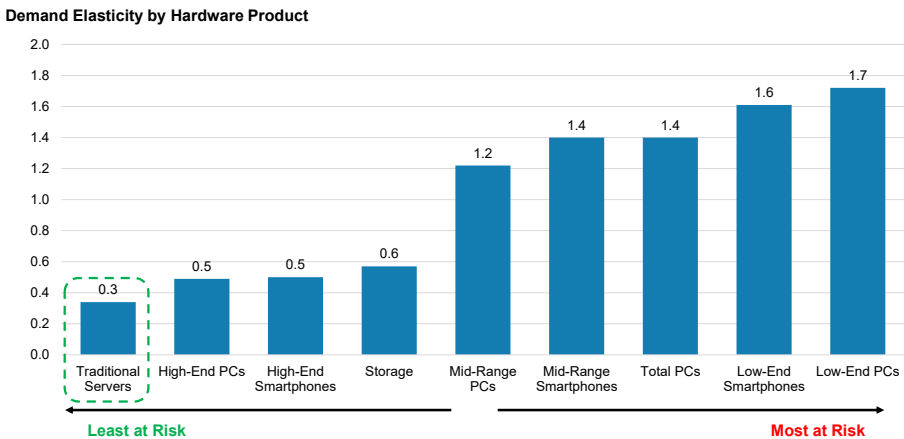
Exhibit 3: We update our CDW, DELL, IBM, INGM, and SNX price targets while also upgrading CDW to Overweight.

Company	Rating		Price Target			Price Target Methodology	
	New	Old	New	Old	% Chng	New	Old
CDW	OW 	EW	\$170.00	\$142.00	19.7%	14x CY27 EPS of \$12.15	14x CY26 EPS of \$10.17
DELL	EW	EW	\$477.00	\$448.00	6.5%	20x FY28 EPS of \$23.83	20x FY28 EPS of \$22.40
HPE	EW	EW	\$71.00	\$71.00	0.0%	17x FY27 EPS of \$4.17	17x FY27 EPS of \$4.16
IBM	EW	EW	\$267.00	\$225.00	18.7%	16.1x CY26 P/FCF of \$16.56	13.6x CY26 P/FCF of \$16.52
INGM	EW	EW	\$33.00	\$27.50	20.0%	9x CY27 EPS of \$3.62	8x CY27 EPS of \$3.45
SNX	OW	OW	\$341.00	\$271.00	25.8%	16x FY27 EPS of \$21.33	14x FY27 EPS of \$19.39

Source: Morgan Stanley Research. For valuation methodology and risks associated with any recommendation, rating or price target referenced in this report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

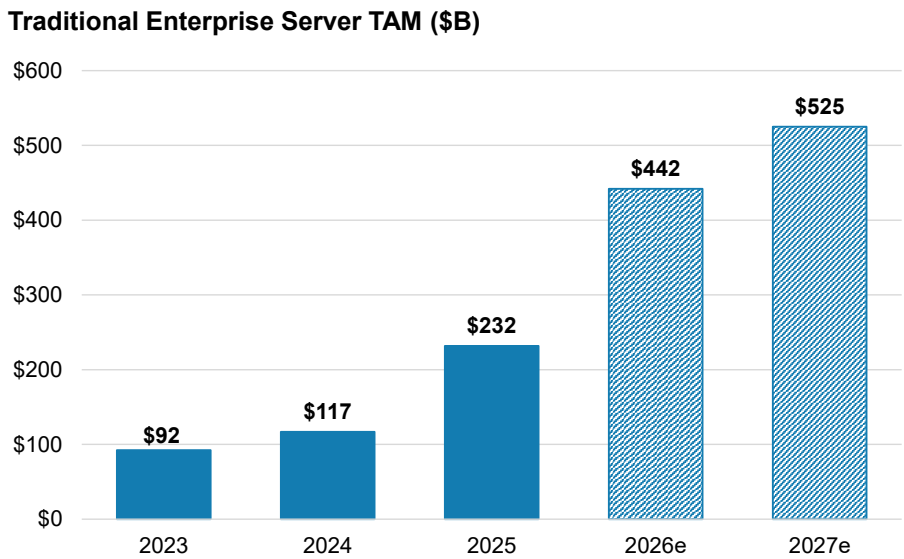
Key Exhibits

Exhibit 4: Based on our quant analysis, traditional servers screen as the most demand inelastic hardware product, better insulating demand from higher memory-induced prices.



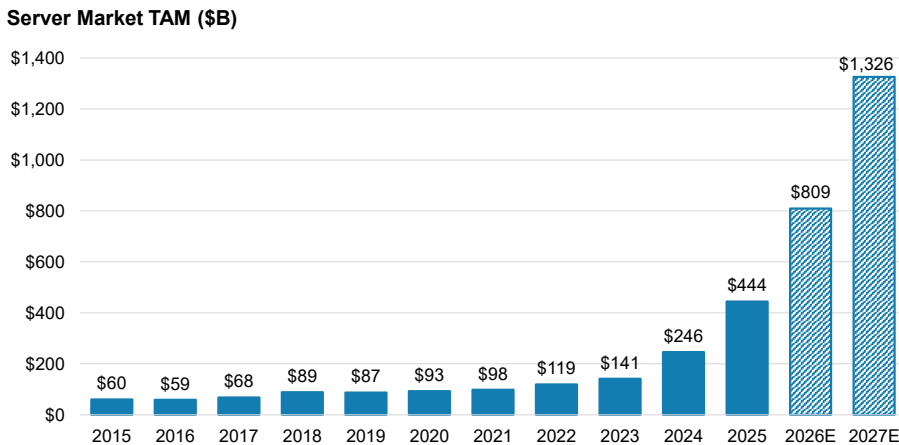
Source: IDC, Company data, AlphaWise, Morgan Stanley Research. Demand elasticity takes the absolute value. PC data goes back to 1995, for storage it starts in 2008, servers in 2003 and smartphones in 2007.

Exhibit 5: We now forecast the traditional server TAM reaching \$442B in CY26 (+91% Y/Y), a function of ~20% Y/Y shipment growth and 55%+ Y/Y ASP growth.



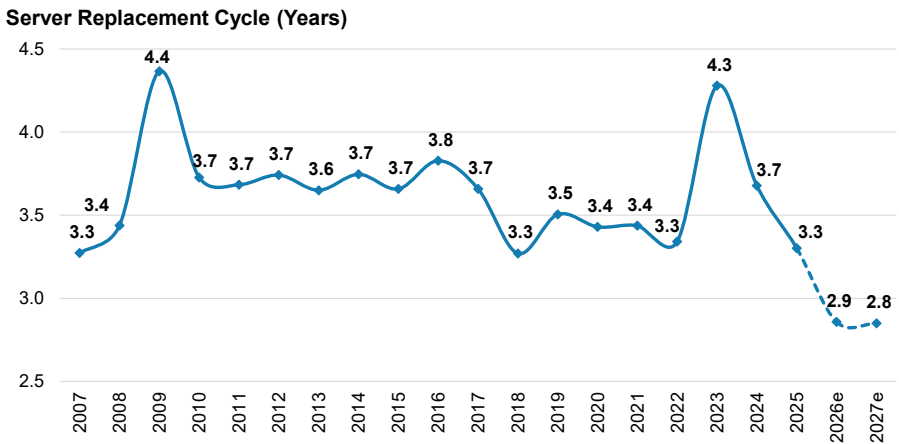
Source: IDC, Morgan Stanley Research.

Exhibit 6: We forecast the server TAM surpassing \$1T in 2027, driven by AI servers and traditional server demand and higher ASPs.



Source: IDC, Morgan Stanley Research

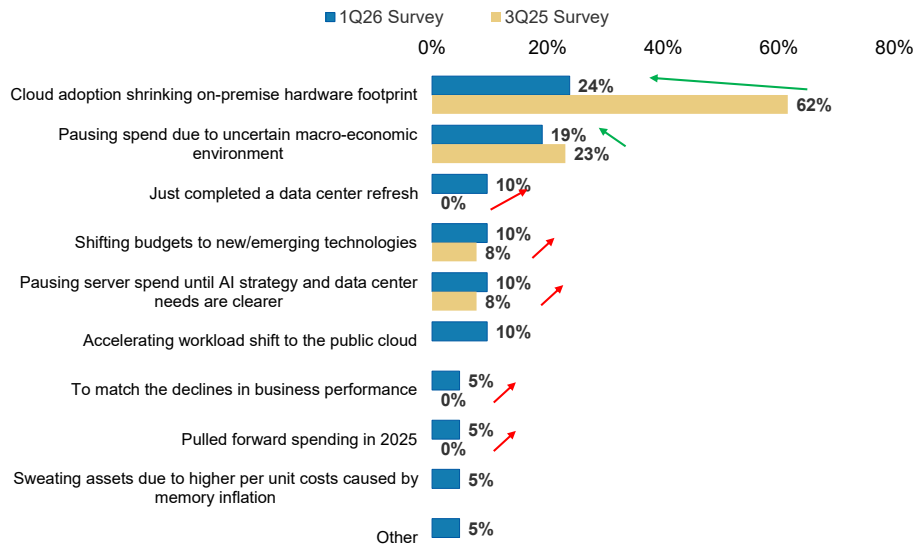
Exhibit 7: We model server replacement cycles accelerating from 3.3 years in 2025, to 2.9 years in 2026 and 2.8 years in 2027.



Source: IDC, Morgan Stanley Research

Exhibit 8: 24% of CIOs that expect server growth to decelerate in 2026 say that they anticipate cloud adoption shrinking on-premise hardware footprint and 19% say they are pausing spend due to an uncertain macro environment.

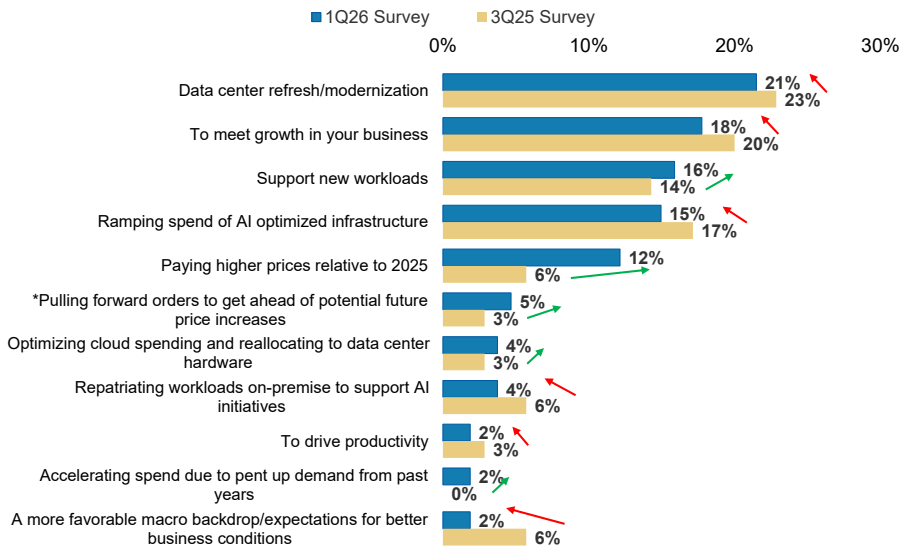
Reasons for Decelerating Server Growth Next Year



Source: AlphaWise n=9 (US and EU data), Morgan Stanley Research.

Exhibit 9: 21% of CIOs that expect server growth to accelerate in 2026 say it is to support data center refresh and 18% say it is to meet growth in their businesses.

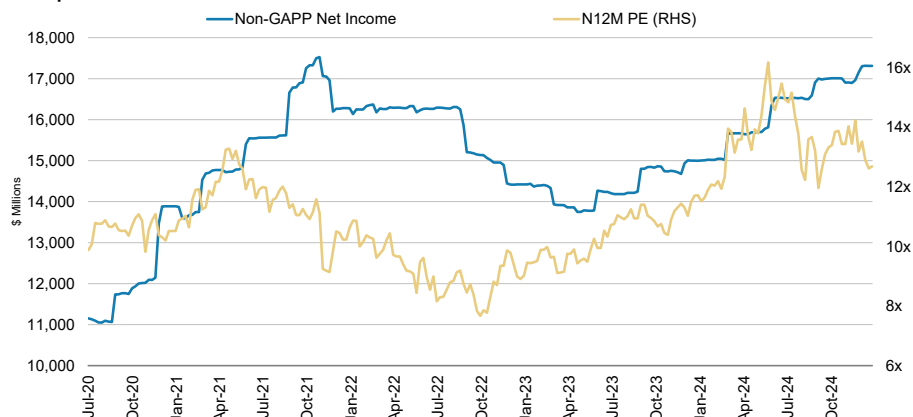
Reasons for Accelerating Server Growth Next Year



Source: AlphaWise, Morgan Stanley Research. n=37 (US and EU data).

Exhibit 10: During the COVID boom/bust, Enterprise hardware P/E multiples largely tracked NTM EPS revisions, but importantly, multiples began to de-rate ahead of NTM EPS revision lower.

Enterprise Hardware Net Income Estimates vs. P/E



Source: FactSet, Morgan Stanley Research. Cohort includes DELL, HPE, HPQ, NTAP, PSTG, CDW, INGM, SNX

Exhibit 11: We update our CDW, DELL, IBM, INGM, and SNX price targets.

Company	Rating		Price Target			Price Target Methodology	
	New	Old	New	Old	% Chng	New	Old
CDW	OW ←	EW	\$170.00	\$142.00	19.7%	14x CY27 EPS of \$12.15	14x CY26 EPS of \$10.17
DELL	EW	EW	\$477.00	\$448.00	6.5%	20x FY28 EPS of \$23.83	20x FY28 EPS of \$22.40
HPE	EW	EW	\$71.00	\$71.00	0.0%	17x FY27 EPS of \$4.17	17x FY27 EPS of \$4.16
IBM	EW	EW	\$267.00	\$225.00	18.7%	16.1x CY26 P/FCF of \$16.56	13.6x CY26 P/FCF of \$16.52
INGM	EW	EW	\$33.00	\$27.50	20.0%	9x CY27 EPS of \$3.62	8x CY27 EPS of \$3.45
SNX	OW	OW	\$341.00	\$271.00	25.8%	16x FY27 EPS of \$21.33	14x FY27 EPS of \$19.39

Source: Morgan Stanley Research. For valuation methodology and risks associated with any recommendation, rating or price target referenced in this report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Updating Our Latest Server Market Thoughts

What is Happening In The Enterprise Server Market?

Market View: The market broadly agrees that enterprise server demand is stronger than expected just a few months ago, and that some portion of current strength reflects pull-forward activity as customers accelerate purchases ahead of component shortages, price increases, and longer lead times. However, the market increasingly believes that agentic AI, AI inferencing, and broader AI infrastructure deployments are creating a new demand vector for traditional enterprise OEM servers, supporting a stronger-for-longer server cycle and pushing the eventual digestion phase further into the future.

Morgan Stanley View: Enterprise server demand is benefiting from a unique combination of refresh activity, supply-constrained pull-forward, infrastructure modernization, and elevated prioritization of compute spending - all at materially higher prices - leading us to raise our CY26-CY27 forecasts for DELL, HPE, SNX, INGM, IBM and CDW (and the Server market as a whole). We believe that Agentic AI and new AI inferencing workloads going into production are likely to contribute to the fastest server replacement cycles in years, but also we remain skeptical that enterprise server demand is going through a material secular inflection point due to these new workloads. Said differently, the confluence of factors listed above, combined with supply shortages, are likely to drive upside to the Server market TAM and enterprise-server exposed company estimates in 2026 and 2027, but visibility beyond this timeframe is limited, and therefore the duration of this cycle will remain debated until more visible evidence supports either side of the debate.

A quick lookback on the enterprise server market. Enterprise servers have historically been one of the largest segments of Enterprise Hardware, with annual unit growth of ~1%, on average, over the past 10 years driven primarily by natural refresh cycles, CPU transitions, virtualization, and modest increases in configuration richness.

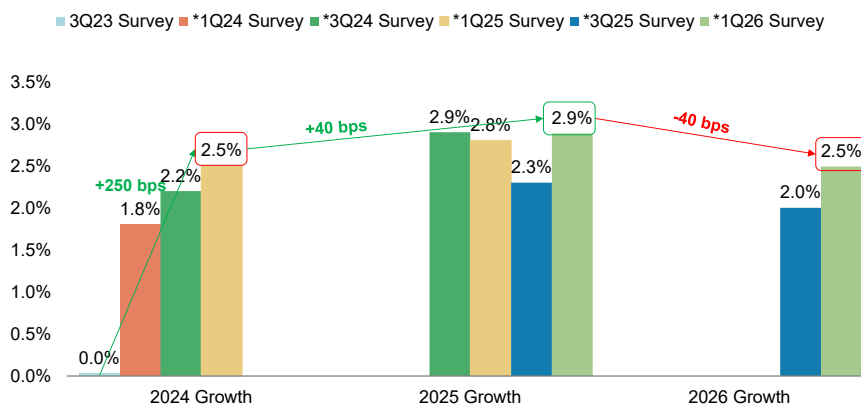
Prior to the emergence of generative and agentic AI, the traditional server market was a ~\$60-120B annual market dominated by OEMs such as DELL, HPE, Lenovo (covered by Howard Kao), and SMCI (not covered), alongside a growing ecosystem of hyperscaler-focused ODMs including Quanta, Wipro, and Inventec. Over the last decade, enterprise server spending has faced several structural headwinds, including workload migration to the public cloud, increasing virtualization efficiency, and periodic digestion cycles following major infrastructure deployments.

The emergence of AI infrastructure spending, accelerating inferencing workloads, agentic AI deployments, infrastructure modernization, and ongoing supply scarcity across DRAM, NAND, CPUs, and HDDs have fundamentally altered the industry backdrop. What began as a hyperscaler AI buildout has increasingly expanded into enterprise and Tier 2 cloud service provider buildouts, driving unprecedented growth across both AI and traditional servers. To-date, most of this incremental demand has been captured by the ODMs who

sell directly to the hyperscalers, and not necessarily the enterprise OEMs. In fact, CIOs surveyed back in February and March expect server budgets to grow just 2.5% Y/Y in 2026, a 40bps deceleration Y/Y, with cloud adoption shrinking on-prem hardware footprint and digestion following recent refresh as the top reasons for decelerating growth this year (Exhibit 6).

Exhibit 12: Hardware experts expect server spend to grow 2.5% Y/Y in 2026, up 50bps from our 3Q25 survey, but a 40bps deceleration from 2025 growth.

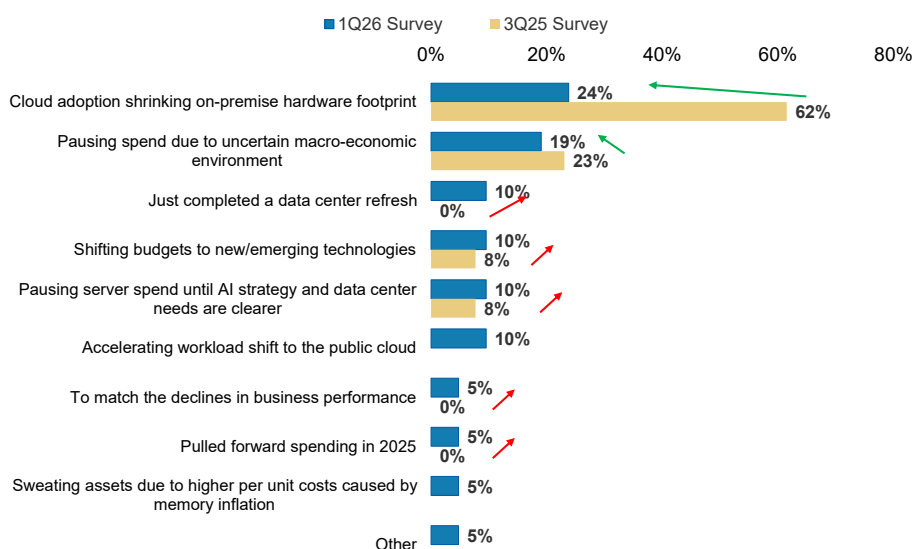
Server Spend Growth in 2024-2026



Source: AlphaWise, Morgan Stanley Research. n=61 (US and EU data). *Please note that we changed our domain panel vendor during the first half of 2024, which means comparisons with prior domain surveys could face possible comparability issues.

Exhibit 13: 24% of CIOs that expect server growth to decelerate in 2026 say that they anticipate cloud adoption shrinking on-premise hardware footprint and 19% say they are pausing spend due to an uncertain macro environment.

Reasons for Decelerating Server Growth Next Year



Source: AlphaWise n=9 (US and EU data), Morgan Stanley Research.

But what's changing? Enterprise server demand is proving to be stronger and longer-lasting than expected due to multiple factors - ongoing refresh activity, infrastructure modernization, pull-forward ahead of component shortages and inflation, and mission-

critical spending prioritization. In fact, both DELL and HPE reported unprecedented strength in traditional servers in the April quarter, as DELL posted record traditional server revenue growth in the April quarter (+92% Y/Y), with mgmt citing accelerating pipeline activity beyond historical norms, record AI backlog levels, and very strong demand for unstructured storage architectures that "feed the beast" of AI workloads, while HPE spoke to servers becoming increasingly strategic as enterprises bring more AI workloads and inferencing on-prem ([Exhibit 14](#)).

[Our Taiwan checks](#) broadly reinforce this view, with general-purpose server demand remaining exceptionally strong into 2027, driven by hyperscalers, T2 CSPs/neoclouds and enterprise refresh. At the same time, the market remains heavily supply constrained rather than demand constrained. DRAM, NAND and other components (i.e. CPUs) are increasingly in short supply, driving substantial pricing inflation with no sign of reversing any time soon. This is not only resulting in higher prices, but we're increasingly hearing about customers - particularly large enterprises - accelerating purchases to secure supply - despite paying materially higher prices. Commentary from enterprise infrastructure OEMs, VARs and IT Distributors this earnings season suggests customers are prioritizing server purchases (both AI and traditional CPU) over more discretionary projects, with evidence of enterprises [not only pulling forward demand from 2H26, but 2027 as well](#).

While there is clearly some degree of demand pull forward to secure supply amid constraints in DRAM, NAND, and CPUs, the strength we're seeing in the server market isn't solely driven by pull-forward, and is benefitting from natural enterprise refresh, infrastructure modernization, and near-term prioritization of mission critical spend ([Exhibit 14](#)). **As a result, the relevant question may no longer be whether pull forward exists – it clearly does and will eventually become a headwind – but rather whether we are entering a structurally larger and stronger-for-longer infrastructure build cycle where demand continues to exceed supply, and importantly how long this cycle lasts.**

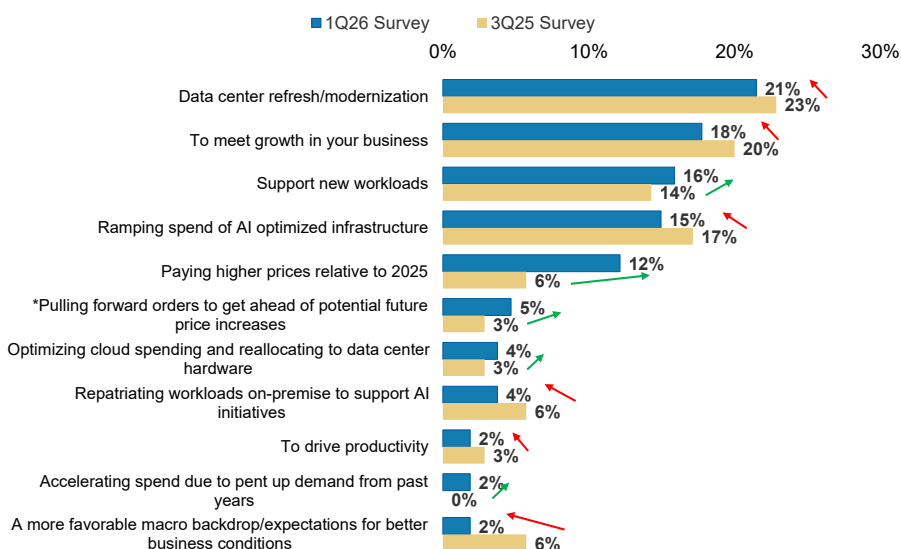
Exhibit 14: Infrastructure OEMs, VARs, and distributors are increasingly noting a pick up in enterprise AI adoption.

Infrastructure OEM Commentary on Enterprise AI Demand		
Source	Commentary	Date
Hewlett Packard Enterprise	"Traditional Server orders increased triple digits as customers continue to modernize their compute infrastructure and invest in AI inferencing ... When we talk to our customers, they're clearly at the early days of their agentic AI journey . They see that, you know, they want their data to be more on prem. They want to do more of the compute on prem... We are seeing a broad pattern across industries. Enterprises want the flexibility of choosing multiple AI models with the governance and control of on-premises. "	3-Jun-26
Dell Technologies	"We booked \$24.4 billion in AI orders and recognized \$16.1 billion of AI server revenue. We're increasing our AI server revenue expectations for FY27 to \$60 billion, which only goes to show the AI opportunity shows no signs of slowing. ... Our customer count surpassed 5,000 with growth across new cloud, sovereigns and enterprise customers ... Additionally, we saw AI inference workloads driving incremental demand for traditional compute. "	28-May-26
Lenovo	"When we look at the demand environment that we are operating in today, it's very different than historical. We think of it as several factors that are driving demand. Clearly, there is a pull-in component ... Customers are upgrading their edge. They're upgrading the infrastructure... We're seeing pockets of fundamental new demand. There's new demand driven by AI ... And the agentic AI is driving a new marketplace for traditional servers that we haven't seen before. "	22-May-26
Lenovo	"We are also seeing enterprise AI adoption pick up a real momentum ... The AI infrastructure market and the customers that we have are really at an inflection point . Many are transitioning well beyond pilot for AI and into implementation and enterprise use of AI agents, coupled with the economics of more efficient tokens ... And now we're seeing this inflection of enterprise AI capability that is mostly at the enterprise level, global account level, large enterprise level. "	22-May-26
Dell Technologies	"As agentic AI drives exponential growth in inferencing demand, enterprises increasingly need validated hybrid AI platforms that can deliver superior economics at scale, one of the biggest barriers to AI adoption globally remains uncertain return on investment, and this is exactly where a hybrid AI advantage is differentiated."	
Dell Technologies	"A recent Dell Technology survey on AI adoption shows that 67% of AI workloads already run outside the cloud, either on prem, on device, at the edge, or in a colo. And 88% of respondents are running at least one AI workload on prem. Those are aggressively pivoting to hybrid AI ... 83% of data sits on-prem today in the world across a majority of enterprises, and there's a strong proclivity to deploy on-prem for performance, cost, security reasons ... AI is fueling a renaissance in enterprise hardware ... It's estimated that the worldwide AI infrastructure spending could hit 3 to \$4 trillion by 2030. "	18-May-26
CDW	"I think we can be clear that customers are no longer in the experimentation stage of AI, but they're asking us how to implement AI safely, economically and at scale ... At the core of our growth strategy is a clear shift we are seeing from customers moving beyond interest in AI to a focus on how to put it to work in real environments at scale and with measurable business impact ... Our ability to address the shift in near-term customer priorities and meet ongoing AI hardware infrastructure investment fueled strength across networking, storage, servers, power and cooling "	6-May-26
Supermicro	"Kind of for AI enterprise, I mean, a lot of agentic AI kind of inferencing application. So we see a very strong demand there. And for traditional server and storage, even IoT, we also start to greatly support and expand this market, and we see a very good progress."	5-May-26
Ingram Micro	"Advanced Solutions grew 14% year-over-year on an FX-neutral basis, driven by strength in server and networking. This also included continued large-scale enterprise deals in GPU and AI infrastructure product sets ... Some of the potential, I would say, tailwinds or opportunities with the AI use cases, and I called out one of those in my prepared remarks, is driving growth and some of the benefits we're getting. If you look at from a customer perspective, we did see some pull forward ... It's more about enterprise and mid-market companies. "	30-Apr-26
TD Synnex	"When you look at general compute, so I mean, general servers, here again, there is a refresh cycle going through at the moment. So yes, it continues to be a tailwind. But similar to PC, we see an acceleration of the purchase of AI-enabled servers. What we see is that end users have now defined their use cases. They are starting to build their AI factories, and that's driving demand in the market, which we are benefiting from."	31-Mar-26

Source: Company data, Morgan Stanley Research

Exhibit 15: 21% of CIOs that expect server growth to accelerate in 2026 say it is to support data center refresh and 18% say it is to meet growth in their businesses.

Reasons for Accelerating Server Growth Next Year



Source: AlphaWise, Morgan Stanley Research. n=37 (US and EU data).

Agentic AI And The CPU Server Renaissance

Agentic AI workloads introduce autonomous, multi-step workflows involving planning, reasoning, memory orchestration, retrieval, scheduling, and tool execution, much of which is highly CPU-intensive and increasingly requires dedicated orchestration-layer CPU infrastructure outside of GPU nodes. While CPUs attached to GPU systems (e.g., Grace Blackwell or Vera Rubin) primarily serve as host processors feeding accelerators, the real incremental TAM is in standalone orchestration CPUs used to run large-scale agent systems, API chaining, browser agents, and security/observability layers. As hyperscalers scale these deployments, they are increasingly purchasing custom CPU servers through ODM partners using internally designed silicon such as AWS Graviton, Google Axion, and Microsoft Cobalt, bypassing OEMs entirely. *For more on agentic AI and its impact on the CPU server market, please see [Rise of the AI Agent – Global Implications](#).*

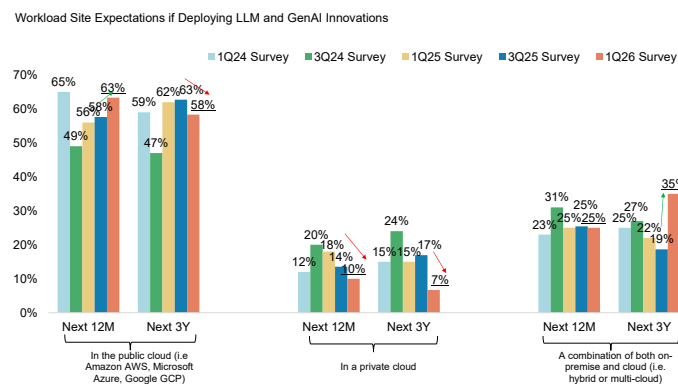
What is real and what is more narrative? Our checks in Asia over the past two weeks suggest a new wave of compute investments tied to enabling agentic AI, primarily driven by strong Hyperscaler and neoclouds. As a result, the majority of the benefit today has accrued to the Taiwanese ODMs. But these drivers are shifting, as we alluded to earlier, with more enterprises leveraging traditional servers for their AI inferencing workloads.

Broadly, we remain more skeptical on this tailwind having multi-year legs given the majority of CIOs in our [1Q26 CIO Survey](#) expect 1) AI/ML workloads to reside in the public cloud and 2) to leverage CSPs and neoclouds (not OEMs) for their agentic AI needs ([Exhibit 16](#) and [Exhibit 17](#)). So to be clear, while enterprise server demand is more durable than we previously anticipated, we do not yet see broad-based evidence that agentic AI is a material tailwind secularly expanding the enterprise CPU server landscape.

Instead, we see all 4 drivers - pull-forward, natural enterprise refresh, infrastructure modernization and near-term mission critical spending prioritization - as playing equal roles in driving enterprise server demand today.

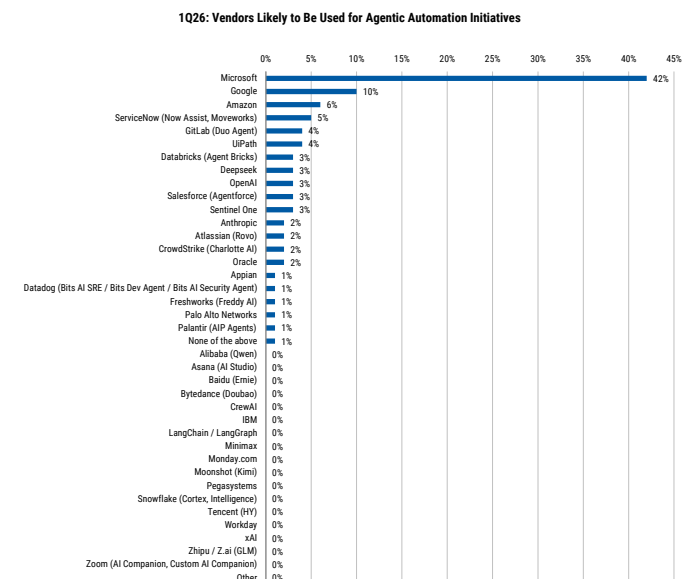
That said, if there is a credible bull case for enterprises doing agentic AI/new AI workloads on-prem, it is increasingly tied to data security and the economics of inference and agentic AI at scale. Cloud AI costs can rise rapidly as workloads move into production, with token consumption becoming an increasingly material expense for enterprises to the point where some very public announcements of cutting back on "Tokenmaxxing" have made national headlines (Uber and Meta). Furthermore, CIOs cite security/privacy, regulatory requirements, lower latency, greater control over data and data sovereignty as reasons to run AI workloads on-prem ([Exhibit 18](#)). In other words, on-prem and/or hybrid AI architectures can offer customers greater visibility into costs, tighter governance over data and more predictable long-term economics than cloud native deployments.

Exhibit 16: The majority of CIOs still expect AI/ML workloads to reside in the public cloud over the NTM (63%) and N3Y (58%).



Source: Source: AlphaWise n=61 (US and EU data), Morgan Stanley Research.

Exhibit 17: Microsoft, Google, Amazon, and ServiceNow Screen as Vendors Most Likely Used for Agentic Automation Initiatives

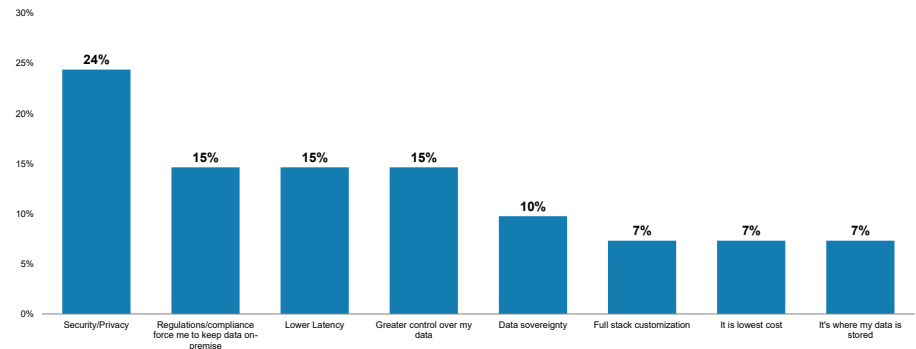


Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 18:

CIOs in our 1Q26 CIO Survey cite security/privacy, data sovereignty and lower latency as reasons to run AI workloads on-prem.

Reasons to run AI workloads on-prem, in a co-location facility or at the edge (1Q26 Survey)



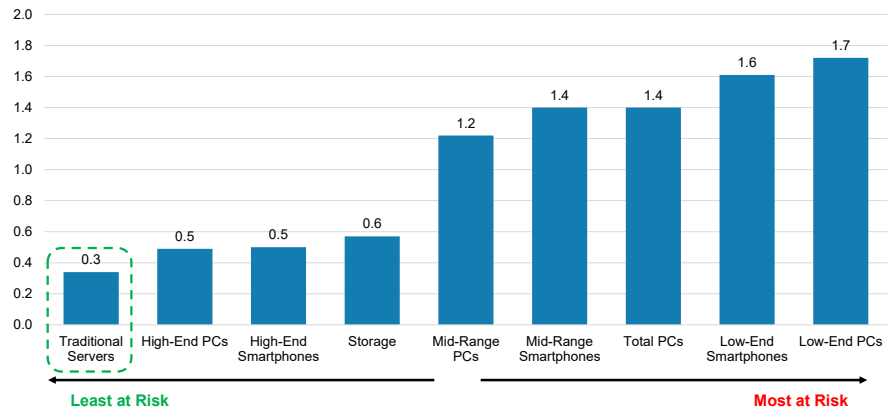
Source: AlphaWise, Morgan Stanley Research. n=61 (US and EU data).

But we thought Hardware OEMs were some of the most challenged in the memory shortage. What has shifted your thinking? Our [memory cycle work](#) initially led us to believe Hardware OEMs would be among the most exposed in the supply chain to DRAM and NAND shortages as memory suppliers prioritized HBM production and hyperscaler demand. However, hardware OEMs appear to be materially better positioned in the current memory shortage than we initially thought, as recent OEM earnings, feedback from the supply chain and recent channel checks suggest the dynamic is more nuanced, and Hardware OEMs are actually being prioritized by memory vendors as they can capture better profit margins on OEMs compared to hyperscalers. As a result, while supply remains constrained and pricing continues to move higher, OEMs are generally securing enough allocation to support demand growth and, importantly, are passing through >100% of these costs to customers with limited evidence of demand destruction so far, generally in-line with historical server elasticity trends ([Exhibit 19](#)).

While uncertainty around the duration of this cycle, magnitude of pull-forward and eventual digestion phase remain very real risks, the evidence increasingly suggests that leading enterprise server vendors are benefitting from an environment where supply scarcity appears to trump this fact today.

Exhibit 19: Based on our quant analysis, traditional servers screen as the most demand inelastic hardware product, better insulating demand from higher memory-induced prices.

Demand Elasticity by Hardware Product



Source: IDC, Company data, AlphaWise, Morgan Stanley Research. Demand elasticity takes the absolute value. PC data goes back to 1995, for storage it starts in 2008, servers in 2003 and smartphones in 2007.

What other shortages exist in the Server market? While DRAM and NAND remain the most severe bottleneck, the server market is increasingly constrained by a broader set of components tied to AI deployments. Most notably, server CPUs have emerged as a significant bottleneck. Demand for traditional servers is being driven not only by enterprise refresh, but as outlined above - by AI inferencing and agentic AI workloads - which require substantial CPU orchestration and memory management. Furthermore, HDDs remain in structural shortage as hyperscalers deploy ~100% of available supply (vs. ~70% historically), with shortages now expected into CY29.

Beyond DRAM, NAND, CPUs and HDDs, supply constraints are spreading into the broader infrastructure stack, including interconnect networking components, microprocessors and ABF substrate capacity as AI systems become increasingly dependent on coordination, data movement, and persistent storage rather than raw GPU compute alone. As a result, scale, supply chain execution and access to supply have become key competitive differentiators. DELL appears to be managing component shortages better than peers, leveraging scale and long-standing supplier relationships to secure more favorable component allocations, resulting in share gains in the server market across both enterprise and T2 CSP customers.

What do all of these factors mean for duration of this server cycle? The duration and magnitude of this server cycle remain uncertain, as most Enterprise Hardware spending checks point to mixed core growth with some degree of accelerated purchases (primary by large enterprises) and near-term prioritization of mission critical infrastructure hardware spend. Furthermore, based on our latest VAR checks - conducted last week - C2Q enterprise hardware spending is tracking in-line to slightly above expectations 30 days ago, with channel partners highlighting continued strength across both AI and traditional servers. At the same time, the VARs we spoke with acknowledged a pick up in pull-forward activity in C2Q vs. C1Q, with this behavior most acute in servers - where pricing pressure is greatest - followed by networking, PCs and storage.

Whether underlying enterprise demand has structurally changed remains a key

question and we are actively surveying to better understand how much of the current strength reflects sustainable AI-driven demand versus accelerated purchasing behavior. However, from what we know today, traditional enterprise server spending is benefiting from a unique combination of factors - compute budgets are inflating due to unprecedented component cost shortages/price increases, customers are pulling forward purchases to secure supply and natural refresh is ongoing - creating a dynamic where traditional server revenue growth appears effectively locked in through CY27.

Updating our MS Server model. Enterprise and hyperscale infrastructure demand continues to surprise to the upside, driving a material upward revision to both our traditional and AI server forecasts. The relevant question may no longer be whether pull forward exists – it clearly does – but rather whether we are entering a structurally larger and stronger-for-longer infrastructure build cycle where demand continues to exceed supply.

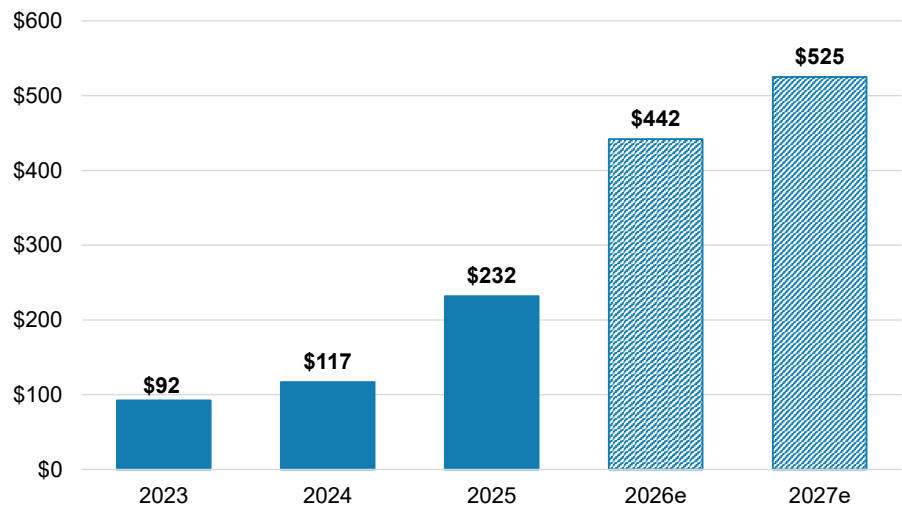
We now forecast CY26 traditional server shipments growing 20% Y/Y (vs. +1% prior) alongside 56% Y/Y ASP growth (vs. +6% prior), as customers continue to prioritize access to compute infrastructure and absorb significant DRAM, NAND, and CPU-driven price increases. Combined, this drives the traditional server TAM to over \$440B in CY26 (+91% Y/Y), 3x+ larger than our forecast ~6 months ago ([Exhibit 20](#)).

At the same time, our AI server outlook continues to move materially higher as hyperscaler, sovereign, enterprise, and neocloud deployments accelerate, with improving visibility into next-generation rack-scale systems (VR200) and broader AI infrastructure buildouts driving our CY26 AI server TAM forecast to \$367B. Combined, we now model the total server TAM in CY26 reaching \$809B, up 82% Y/Y and ~6x larger than the CY23 server market, and surpassing \$1.3T (+64% Y/Y) in CY27 making servers one of the fastest-growing and largest infrastructure spending categories in all of technology, at least in the near-term.

Importantly, while there is clearly some degree of pull-forward embedded in current demand trends, our recent supply chain checks, Taiwan meetings, OEM earnings commentary, and CIO work increasingly suggest that what began as an AI server cycle increasingly looks like a much broader infrastructure cycle, with both traditional and AI servers benefitting from stronger-for-longer demand dynamics than we previously anticipated.

Exhibit 20: We now forecast the traditional server TAM reaching \$442B in CY26 (+91% Y/Y), a function of ~20% Y/Y shipment growth and 55%+ Y/Y ASP growth.

Traditional Enterprise Server TAM (\$B)



Source: IDC, Morgan Stanley Research.

Exhibit 21: We forecast the server TAM surpassing \$1T in 2027, driven by AI servers and traditional server demand and higher ASPs.

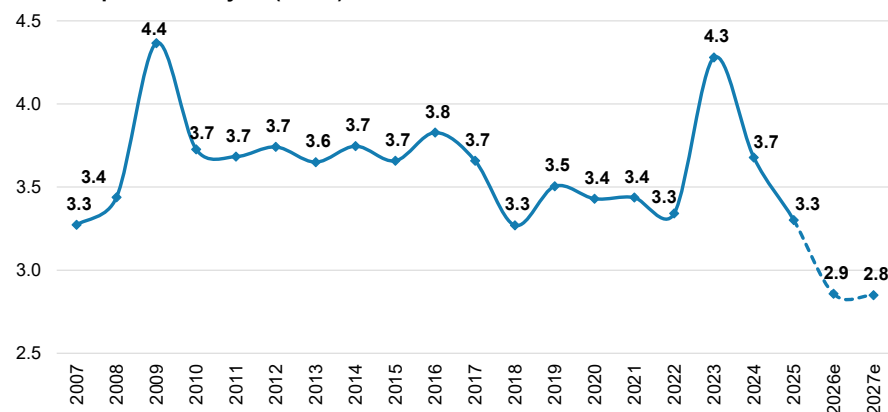
Server Market TAM (\$B)



Source: IDC, Morgan Stanley Research

Exhibit 22: We model server replacement cycles accelerating from 3.3 years in 2025, to 2.9 years in 2026 and 2.8 years in 2027.

Server Replacement Cycle (Years)



Source: IDC, Morgan Stanley Research

How do these findings impact our stock ratings and estimates. Our updated enterprise server outlook reflects growing conviction that the current server cycle is proving both stronger and more durable than we previously anticipated, driven by a combination of enterprise infrastructure refresh activity, accelerating AI inferencing and agentic AI deployments, edge modernization, and ongoing supply-constrained demand across both traditional CPU servers and AI infrastructure. As a result, we are raising our enterprise server market forecast and increasing our revenue and earnings estimates across server-exposed OEMs DELL, IBM and HPE, and channel partners SNX, INGM and CDW.

While we continue to believe a portion of current demand reflects pull-forward behavior as customers secure supply amid DRAM, NAND, and CPU shortages, our recent Taiwan checks, OEM commentary, and earnings results increasingly suggest the underlying infrastructure TAM is expanding as AI workloads move beyond GPUs into broader compute and storage architectures. **Among our coverage, we see the greatest upside to estimates at EW-rated DELL**, where share gains, superior component access, and exposure to both enterprise and T2 CSP demand position the company as the clearest beneficiary of the stronger for longer server cycle. **We also see upside at OW-rated CDW**, where valuation remains compelling relative to peers, and at OW-rated SNX, where the company benefits from demand in core distribution plus the Hyve hyperscale infrastructure business. We are also raising our estimates for EW-rated HPE, EW-rated INGM, and EW-rated IBM alongside this report, however we see more upside to estimates and valuation and lean more positive on SNX, DELL and CDW (Exhibit 23 and Exhibit 24).

Exhibit 23: Our CY26 revenue/EPS estimates move 4-5% higher, on average.

Company	CY26 Revenue (\$B)					CY26 EPS				
	New	Old	% Chng	Consensus	% vs Cons	New	Old	% Chng	Consensus	% vs Cons
CDW	\$24.0	\$22.2	8.5%	\$23.5	2.3%	\$10.97	\$10.17	7.8%	\$10.71	2.4%
Dell*	\$205.1	\$179.0	14.6%	\$168.9	21.4%	\$20.73	\$19.67	5.4%	\$17.95	15.5%
HPE	\$46.0	\$45.5	1.0%	\$44.9	2.4%	\$3.45	\$3.44	0.2%	\$3.41	1.2%
IBM	\$72.3	\$71.8	0.6%	\$71.5	1.2%	\$12.43	\$12.33	0.8%	\$12.43	0.0%
Ingram Micro	\$56.9	\$55.9	1.9%	\$56.5	0.8%	\$3.25	\$3.17	2.7%	\$3.28	-0.9%
TD Synnex	\$70.2	\$67.6	3.9%	\$68.3	2.9%	\$17.80	\$17.09	4.1%	\$17.04	4.5%
Average			5.3%		5.6%			3.4%		3.7%
Median			1.9%		2.3%			2.7%		1.2%

*FY28

Source: FactSet, Morgan Stanley Research

Exhibit 24: Our CY27 revenue and EPS estimates move ~5% higher, on average.

Company	CY27 Revenue (\$B)					CY27 EPS				
	New	Old	% Chng	Consensus	% vs Cons	New	Old	% Chng	Consensus	% vs Cons
CDW	\$24.6	\$22.7	8.3%	\$24.3	1.1%	\$12.15	\$11.10	9.4%	\$11.68	4.0%
Dell*	\$229.6	\$214.0	7.3%	\$192.5	19.2%	\$23.83	\$22.40	6.4%	\$21.57	10.5%
HPE	\$51.8	\$50.9	1.7%	\$49.8	4.0%	\$4.17	\$4.16	0.3%	\$4.01	4.1%
IBM	\$74.5	\$74.2	0.4%	\$74.6	-0.1%	\$13.15	\$13.07	0.6%	\$13.39	-1.8%
Ingram Micro	\$57.4	\$55.8	3.0%	\$58.1	-1.2%	\$3.79	\$3.62	4.8%	\$3.67	3.3%
TD Synnex	\$79.3	\$73.0	8.6%	\$73.1	8.6%	\$21.33	\$19.39	10.0%	\$19.07	11.8%
Average			4.9%		5.3%			5.3%		5.3%
Median			5.1%		2.5%			5.6%		4.1%

*FY28

FactSet, Morgan Stanley Research

Exhibit 25: We update our CDW, DELL, IBM, INGM, and SNX price targets.

Company	Rating		Price Target			Price Target Methodology	
	New	Old	New	Old	% Chng	New	Old
CDW	OW 	EW	\$170.00	\$142.00	19.7%	14x CY27 EPS of \$12.15	14x CY26 EPS of \$10.17
DELL	EW	EW	\$477.00	\$448.00	6.5%	20x FY28 EPS of \$23.83	20x FY28 EPS of \$22.40
HPE	EW	EW	\$71.00	\$71.00	0.0%	17x FY27 EPS of \$4.17	17x FY27 EPS of \$4.16
IBM	EW	EW	\$267.00	\$225.00	18.7%	16.1x CY26 P/FCF of \$16.56	13.6x CY26 P/FCF of \$16.52
INGM	EW	EW	\$33.00	\$27.50	20.0%	9x CY27 EPS of \$3.62	8x CY27 EPS of \$3.45
SNX	OW	OW	\$341.00	\$271.00	25.8%	16x FY27 EPS of \$21.33	14x FY27 EPS of \$19.39

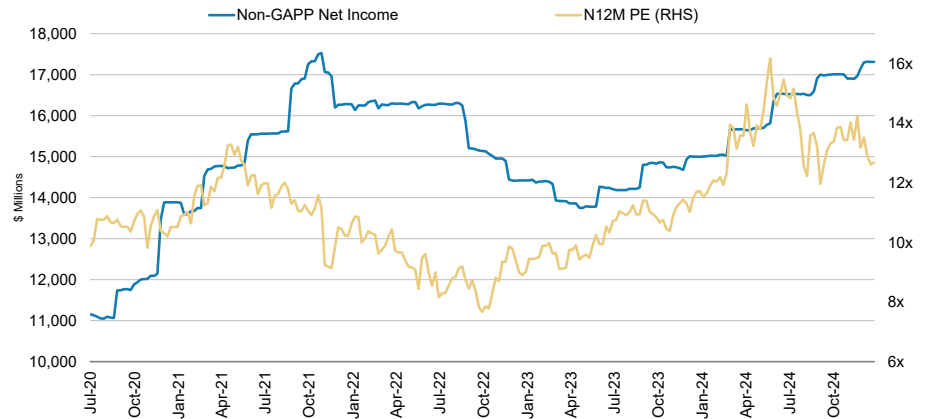
Source: Morgan Stanley Research. For valuation methodology and risks associated with any recommendation, rating or price target referenced in this report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

What metrics are we watching to stress-test the duration of this cycle? As we think about stress-testing the duration of this cycle, we believe investors should focus on next 12 month EPS revisions and "peak EPS" perception, which historically has been the single best indicator of when hardware cycles begin to roll over and cyclical outperformers transition into cyclical underperformers. The 2020-2023 COVID period is a recent illustrative scenario of how hardware OEM's perform through cyclical spending cycles. During COVID, Hardware OEM valuations peaked before next 12 months EPS started to get revised lower, but both metrics followed the same general trajectory ([Exhibit 26](#)).

Said differently, the market historically front-runs negative NTM EPS revisions, but this metric is the single most important one to watch to determine when cyclical outperformers turn into cyclical underperformers (i.e. when the market begins to question the durability of peak earnings power). This means monitoring whether traditional server unit order growth remains elevated despite rising prices, and whether backlog and pipeline activity continue to expand. Equally important are the signs that would suggest the opposite - an abrupt slowdown in pull forward activity, rising channel inventory levels, increasing discounting, weaker order conversion, or evidence that customers are beginning to defer server-related projects rather than accelerate them. We are also closely tracking CIO survey data, monthly VAR checks, and read-throughs from the supply chain for evidence that enterprise infrastructure budgets are either broadening beyond today's mission critical projects or, alternatively, beginning to digest prior purchases.

Exhibit 26: During the COVID boom/bust, Enterprise hardware P/E multiples largely tracked NTM EPS revisions, but importantly, multiples began to de-rate ahead of NTM EPS revision lower.

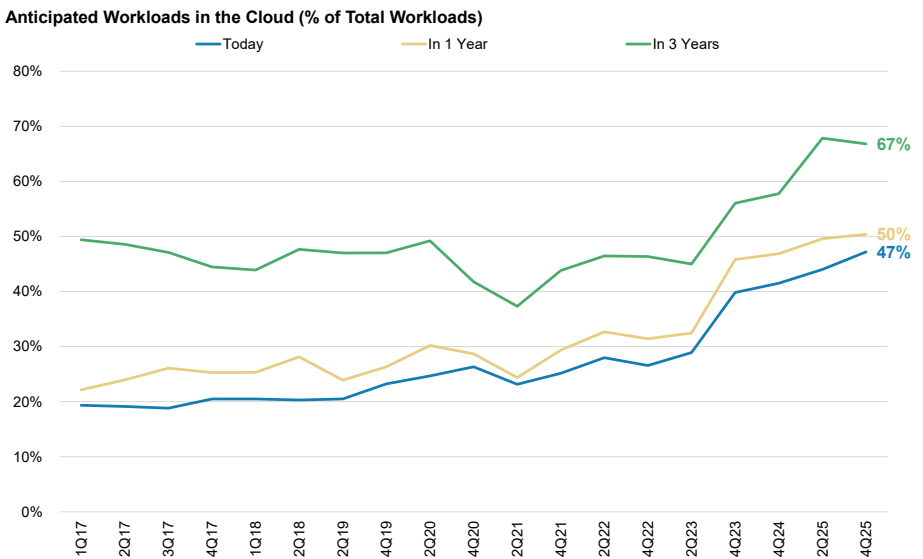
Enterprise Hardware Net Income Estimates vs. P/E



Source: FactSet, Morgan Stanley Research. Cohort includes DELL, HPE, HPQ, NTAP, PSTG, CDW, INGM, SNX

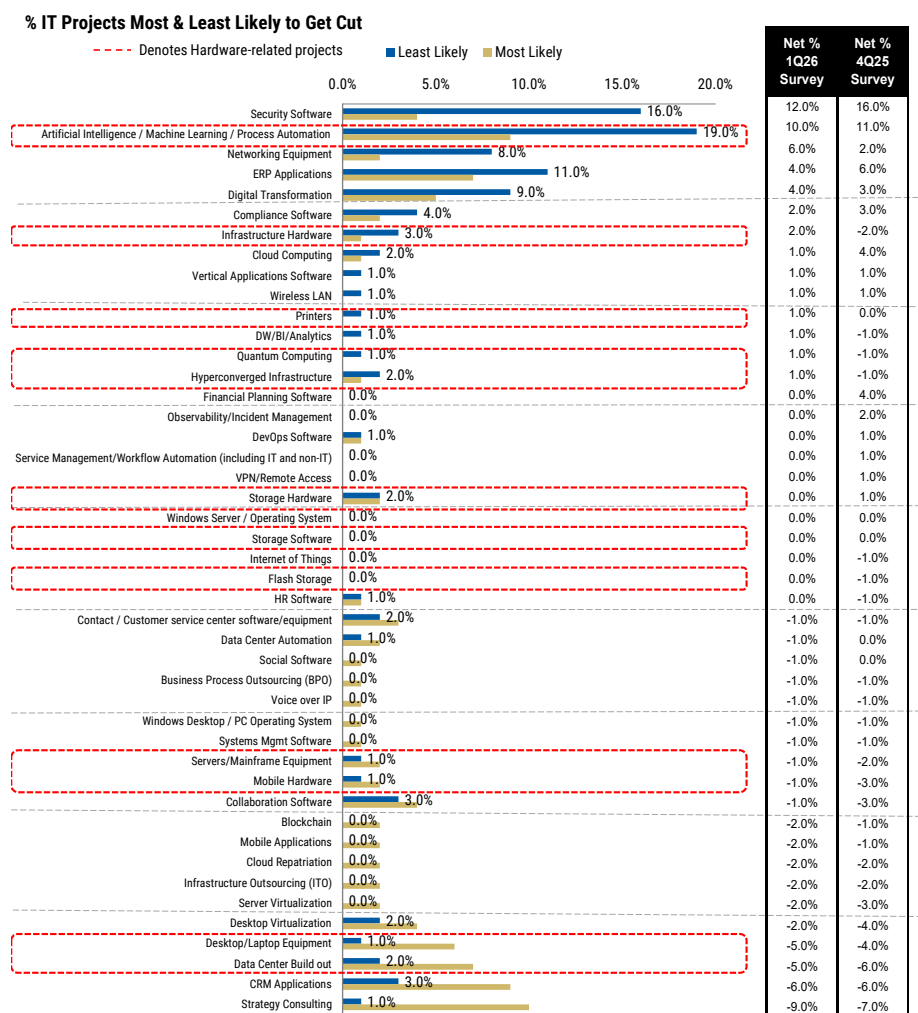
Where do we see the greatest downside risks to becoming more positive on server stocks here? First, and most importantly, there is clearly some degree of pull-forward embedded in current demand trends, as enterprises, neoclouds, and T2 CSPs accelerate purchases to secure supply amid ongoing DRAM, NAND, CPU, and HDD shortages. **Second,** while AI-driven workloads are clearly expanding the underlying server TAM, we remain skeptical that this is a true tailwind to enterprise branded servers and see it more of a tailwind to the ODMs and to a degree DELL who sell to hyperscalers. **Third,** a faster-than-expected normalization of supply or a pause in customer purchasing could create a demand air-pocket in 2027 and beyond as prior purchases are digested. **Fourth,** while server demand has thus far proven remarkably inelastic despite significant price inflation, continued component shortages and further price increases remain a material risk if customers ultimately begin to push back on pricing. **Fifth,** we continue to see risk that enterprise workloads migrate to the public cloud faster than expected, limiting the durability of on-prem server demand once the current infrastructure cycle matures ([Exhibit 27](#)). **Sixth,** macroeconomic uncertainty remains elevated, which remains a key risk to enterprise CIO budgets as hardware projects such as infrastructure hardware and data center build-out are more likely to get cut in a worsening macro ([Exhibit 28](#)). **Finally,** while agentic AI, inferencing, and AI-driven infrastructure modernization are increasingly supporting broader compute demand today, visibility into the ultimate magnitude and duration of these demand drivers remains limited, creating risk that the current cycle proves more cyclical than secular. Said differently, the debate is no longer whether server demand is strong today, but rather how much of the current strength reflects a structurally larger infrastructure market versus demand being accelerated from future years.

Exhibit 27: Over the past 10 years the % of CIO workloads in the cloud has increased from <20%, to nearly 50% and is expected to reach nearly 70% over the next 3 years.



Source: AlphaWise CIO Survey (n=100) (US and EU data), Morgan Stanley Research

Exhibit 28: CIOs cite that data enter build-out, desktop/laptop equipment, and servers/mainframe equipment are some of the hardware projects most likely to get cut if the economy worsens.



Source: AlphaWise n=100 (US and EU data), Morgan Stanley Research.

Upgrading CDW to Overweight on 2H Estimate Tailwinds and Attractive Valuation

Upgrade to Overweight, with a new \$170 PT on the back of 2H estimate upside and attractive valuation. We believe CDW offers one of the most attractive risk/reward profiles in our coverage given its combination of recent underperformance/valuation support, 2H26 earnings upside from stronger than expected enterprise infrastructure demand (partially aided by pull-forward), and diversified exposure to a broad set of IT spending categories, which we believe will better insulate CDW from the eventual digestion/demand gap from the current enterprise hardware refresh cycle and pull forward activity, relative to OEMs. CDW has underperformed the S&P 500 by ~20 points in the last 6 months, and with valuation near all-time lows at ~11x P/E, we see an attractive entry point and we upgrade CDW to Overweight (from Equal-weight).

CDW is a key beneficiary of stronger-than-expected enterprise infrastructure demand.

As the largest publicly traded value-added reseller in the US, CDW sits at the center of enterprise IT spending trends, with exposure to enterprise hardware, software and services. While the market is pricing in the more bullish near-term server spending strength for the OEMs - with DELL and HPE now trading at ~18x and ~12x, respectively, up 3x-9x turns YTD, CDW has actually de-rated by ~2x turns over the same period. However, we believe CDW is well positioned to benefit from a stronger-for-longer infrastructure spending cycle as well given over 20% of revenue is tied directly to servers, storage and networking hardware.

While we acknowledge that the current infrastructure spending cycle will ultimately transition into a digestion phase, we believe CDW is better positioned to navigate that environment. Unlike more hardware-centric enterprise infrastructure OEMs, CDW's diversified portfolio spans hardware, software, cloud, security, services, data center, collaboration, and AI-related spending categories. As a result, even when spending moderates across servers and broader infrastructure hardware and purchases are digested, CDW's diversified portfolio allows customers to pivot to other areas of IT investment. In our view, this diversification should support more resilient topline growth and earnings power through cycles.

We reforecasted our CDW revenue assumptions bottom-up and underwrite 20%+ Y/Y Server & Storage growth, 10%+ Y/Y Networking growth, 10% Y/Y Software growth, followed by MSD Y/Y PC growth in CY26, largely in-line with our assumptions for IT Distribution partners SNX and INGM this year ([Exhibit 29](#)). Combining all of these factors, we now forecast \$24B (+7% Y/Y) of revenue and \$10.97 (+9% Y/Y) of EPS in CY26, ~3% above Consensus and above mgmt's guidance for EPS to grow MSD Y/Y. For next year (CY27), we are now assuming growth decelerates but sustains (directionally in-line with Distribution peers), leading to \$24.6B of revenue and \$12.15 of EPS, 2-4% above Consensus ([Exhibit 30](#)).

Exhibit 29: We embed 20%+ Y/Y servers & storage growth in 7% Y/Y revenue forecast for CDW in CY26, largely in-line with our forecasts for channel partners SNX and INGM.

CY26 (Y/Y Growth)	CDW	SNX	INGM
Endpoint Solutions	6%	4%	5%
PCs & Mobile	6%	7%	
Other	3%	-1%	
Advanced Solutions & Cloud	13%	16%	14%
Servers & Storage	21%	23%	
Networking	11%	10%	
Software & Cloud	10%	15%	
Other/Services	1%	9%	1%
CY27 (Y/Y Growth)	CDW	SNX	INGM
Endpoint Solutions	-2%	-2%	-2%
PCs & Mobile	-2%	-2%	
Other	1%	-1%	
Advanced Solutions & Cloud	6%	7%	6%
Servers & Storage	7%	8%	
Networking	4%	5%	
Software & Cloud	7%	8%	
Other/Services	2%	5%	2%

Source: Company Data, Morgan Stanley Research

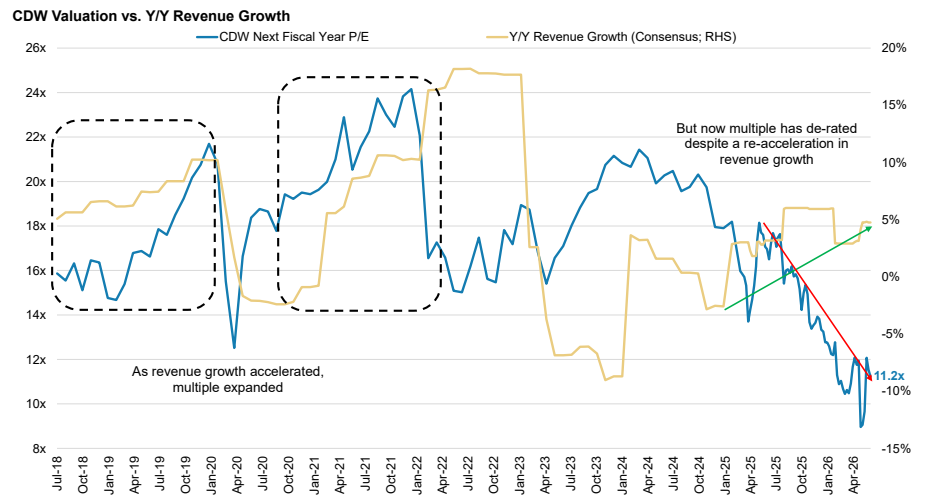
Exhibit 30: Our CY26 and CY27 revenue and EPS move 8-9% higher, largely a function of stronger enterprise infrastructure demand.

CDW Corp (\$ Millions)	CY26E					CY27E				
	MSe New	MSe Old	% Change	Consensus	MS vs. Cons.	MSe New	MSe Old	% Change	Consensus	MS vs. Cons.
Total Revenue	\$24,043	\$22,150	9%	\$23,400	3%	\$24,602	\$22,722	8%	\$24,216	2%
Y/Y Growth	7%	-1%	844 bps	4%	287 bps	2%	3%	-25 bps	3%	-116 bps
Gross Margin	21.3%	21.9%	-56 bps	21.6%	-29 bps	21.9%	22.5%	-57 bps	21.9%	6 bps
Non-GAAP Operating Margin	8.7%	9.0%	-24 bps	7.6%	116 bps	9.0%	9.3%	-27 bps	8.0%	105 bps
Non-GAAP EPS	\$10.97	\$10.17	8%	\$10.66	3%	\$12.15	\$11.10	9%	\$11.64	4%

Source: Factset, Company Data, Morgan Stanley Research

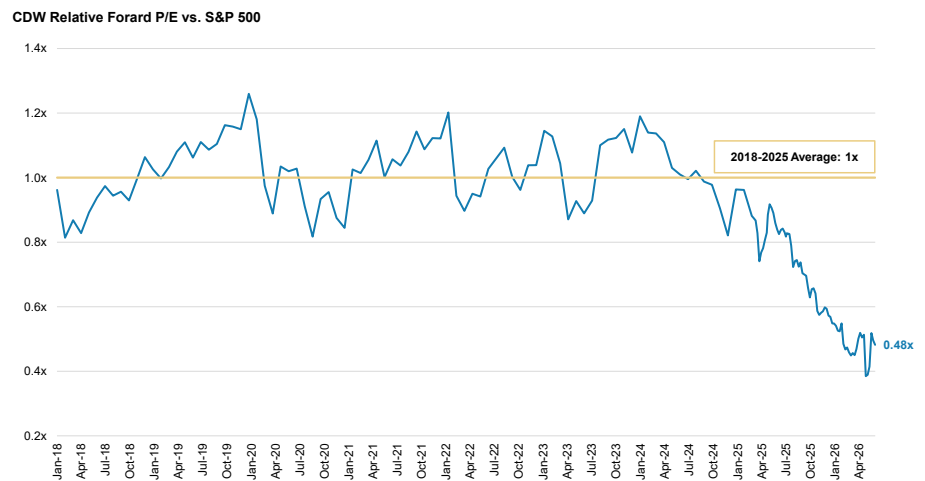
Valuation at this stage, and with likely upside to 2H estimates (reflective of operating leverage) is compelling to us. CDW has underperformed the S&P 500 by ~20 points in the last 6 months, and ~53 points in the last 18 months, reflecting a combination of concerns around AI disruption, demand durability, and the ability to deliver operating leverage. Valuation has directionally tracked revenue growth for the better part of the last decade, and with the stock now trading at ~11x P/E, near all-time valuation lows and a meaningful discount to its historical average and the S&P 500, the market is implying a more severe slowdown in IT spending than our checks would suggest ([Exhibit 31](#) and [Exhibit 32](#)). However, as the largest public US VAR, CDW is exposed to enterprise infrastructure spending trends and higher ASPs, which are likely to put upward pressure on topline growth over the next 12-18 months. As a result, we revise up our CY26 and CY27 revenue and EPS by 8-9%, reflecting demand strength, refresh activity, supply-constrained pull-forward, infrastructure modernization, and elevated prioritization of compute spending. We upgrade CDW to Overweight (from EW) with a new price target of \$170 (up from \$142 prior), which assumes an unchanged 14x target P/E multiple on our new CY27 EPS of \$12.15.

Exhibit 31: CDW's P/E multiple has de-rated ~2x turns since early February '26 while Consensus revenue growth expectations have moved 2 points higher.



Source: Factset, Company Data, Morgan Stanley Research

Exhibit 32: CDW now trades at a 0.48x relative multiple to the S&P 500, well below the historical relative multiple average of 1.0x and near all-time lows.



Source: Factset, Company Data, Morgan Stanley Research

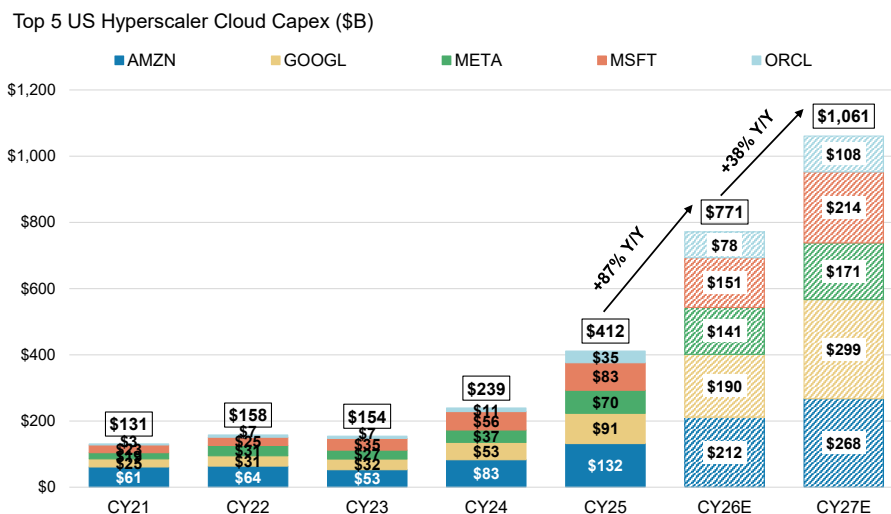
Previewing SNX Earnings As An Upcoming Stock Catalyst

We are tactically positive into SNX F2Q earnings and expect the company to beat F2Q expectations and guide F3Q above Consensus, a function of resilient server demand, large enterprise pull-forward and Hyve upside. Recent checks, supply chain datapoints and read-throughs from offcycle earnings point to materially stronger traditional server demand in the near-term, driven by a combination of enterprise infrastructure refresh activity, pull-forward related to component shortages, accelerating inferencing workloads, and early benefits from agentic AI deployments. We expect these trends to positively impact SNX's core distribution business and Hyve contract manufacturing business.

We are incrementally more bullish on Hyve. Hyve is the only US-based contract manufacturer that designs/manufactures for all 5 US hyperscalers, positioning TD Synnex to capitalize on the fast growing hyperscale infrastructure market where capex across the top 5 US hyperscalers is expected to reach \$771B (+87% Y/Y) this year and surpass \$1T in 2027 ([Exhibit 23](#)). Specifically, ORCL - a key Hyve customer - reported May quarter capex nearly 50% above Street expectations and guided FY27 capex ~30%, or ~\$20B, above consensus expectations. Furthermore, we are incrementally more bullish on the opportunity at newly onboarded customers (MSFT, AMZN and GOOGL), and see the recently announced warrant agreement between SNX and AMZN as an incremental positive. While the filing does not disclose the specific commercial spending thresholds required for vesting, we believe the structure of the agreement - over 3M warrants vest overtime based on AMZN achieving certain spending commitments with SNX - signals a deeper strategic relationship between Amazon and SNX and supports our view that Amazon is spending incrementally more with Hyve.

We would also highlight that, of our IT Hardware coverage, we believe SNX is among the best positioned to benefit from the emerging "CPU server renaissance" tied to agentic AI. While we remain skeptical that agentic AI becomes a material driver of traditional enterprise server demand - given the majority of demand is coming from the large CSPs, not enterprises - SNX is uniquely positioned through Hyve, which designs and manufactures infrastructure for all five major US hyperscalers. As agentic AI increasingly drives demand for orchestration-layer CPU infrastructure, inferencing clusters, and broader compute architectures alongside AI accelerators, we believe the this spend will be concentrated at the hyperscalers. Given Hyve designs and delivers purpose-built rack-scale servers, storage and networking systems for hyperscalers, agentic AI is a direct tailwind to Hyve and represents a differentiated source of upside relative to traditional enterprise-focused server OEMs.

Exhibit 33: Cumulatively, Morgan Stanley now estimates the top 5 US cloud players to spend \$771B on cash capex in 2026 and over \$1T in 2027.



All in, we expect the company to beat F2Q expectations and guide F3Q above Consensus, a function of resilient server demand, large enterprise pull-forward and Hyve upside. Taking into account the near-term strength in enterprise infrastructure spending trends (primarily servers) with the accelerating momentum in the Hyve business, we are raising our estimates, and now forecast F2Q revenue of \$17.2B and non-GAAP EPS of \$4.30, up from \$16.7B and \$4.10 prior, 3-4% above Consensus at \$16.7B and \$4.12 and above the top end of mgmt's \$16.1-16.9B and \$3.75-4.25 guidance ranges, respectively ([Exhibit 34](#)).

Looking to the August quarter and beyond, we expect this momentum to persist as customers continue to pull-forward mission-critical server refresh and recent Hyperscale wins ramp in F2H26 into FY27, with our new FY26 and FY27 revenue and gross billings 3-15% above Consensus (and 4-10% above our prior estimates). All-in, our FY26 EPS moves 4% higher, to \$17.80 (5% above Consensus), while our FY27 EPS moves 10% higher, to \$21.33 (12% above consensus), reflecting our growing conviction that both traditional enterprise infrastructure demand and Hyperscale spending with Hyve are stronger than investors currently appreciate. On a 16x target P/E multiple, which credits SNX Distribution with a 11x target P/E multiple - largely in-line with peers on a margin-adjusted basis ([Exhibit 35](#)) - and Hyve with a 20x multiple, a slight discount to larger scale US-based EMS peers ([Exhibit 36](#)), we arrive at our \$341 price target, the new high on the Street ([Exhibit 37](#)). SNX reports F2Q26 earnings on Thursday, June 25th, before the market open.

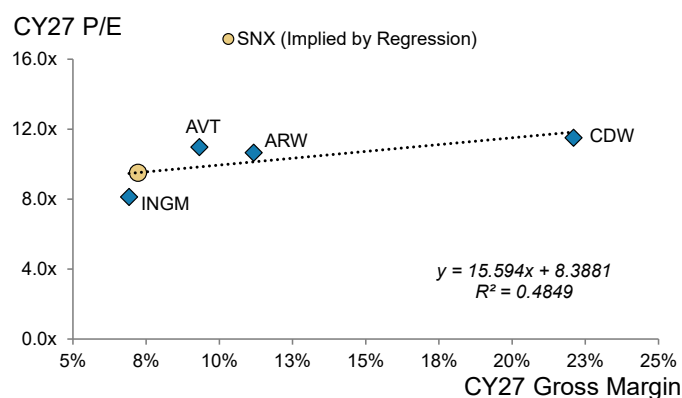
Exhibit 34: Our FY26 and FY27 revenue and EPS move 4-10% higher, a function of stronger Advanced Solutions demand (due to servers) and continued momentum in Hyve.

SNX: MSe vs. Consensus (\$ Millions)	MSe		F2Q26E %		MS vs.	MSe		F3Q26E %		MS vs.
	New	Old	Change	Cons.		New	Old	Change	Cons.	
Total Gross Billings	\$26,215	\$25,397	3.2%	\$24,929	5.2%	\$26,595	\$25,374	4.8%	\$24,831	7.1%
Distribution	\$22,060	\$21,494	2.6%			\$21,278	\$20,863	2.0%		
Hyve	\$4,155	\$3,903	6.5%			\$5,317	\$4,511	17.9%		
Total Revenue	\$17,212	\$16,711	3.0%	\$16,773	2.6%	\$17,372	\$16,620	4.5%	\$16,760	3.7%
Non-GAAP Gross Margin (%)	7.21%	7.16%	5 bps	7.17%	4 bps	7.17%	7.12%	5 bps	7.11%	6 bps
Non-GAAP Operating Margin (%)	3.12%	3.08%	4 bps	3.08%	4 bps	3.08%	3.04%	3 bps	2.97%	11 bps
Non-GAAP EPS	\$4.30	\$4.10	4.9%	\$4.12	4.3%	\$4.33	\$4.07	6.5%	\$4.01	8.0%

SNX: MSe vs. Consensus (\$ Millions)	MSe		FY26E %		MS vs.	MSe		FY27E %		MS vs.
	New	Old	Change	Cons.		New	Old	Change	Cons.	
Total Gross Billings	\$106,280	\$102,685	3.5%	\$100,778	5.5%	\$123,244	\$112,695	9.4%	\$107,013	15.2%
Distribution	\$87,277	\$85,200	2.4%			\$90,156	\$87,445	3.1%		
Hyve	\$19,003	\$17,485	8.7%			\$33,088	\$25,249	31.0%		
Total Revenue	\$70,224	\$67,612	3.9%	\$68,267	2.9%	\$79,325	\$73,046	8.6%	\$73,053	8.6%
Non-GAAP Gross Margin (%)	7.15%	7.14%	1 bps	7.13%	2 bps	7.20%	7.16%	4 bps	7.17%	3 bps
Non-GAAP Operating Margin (%)	3.14%	3.14%	-1 bps	3.10%	4 bps	3.10%	3.09%	1 bps	3.11%	-1 bps
Non-GAAP EPS	\$17.80	\$17.09	4.1%	\$17.04	4.5%	\$21.33	\$19.39	10.0%	\$19.07	11.8%

Source: Company Data, Bloomberg, Morgan Stanley Research

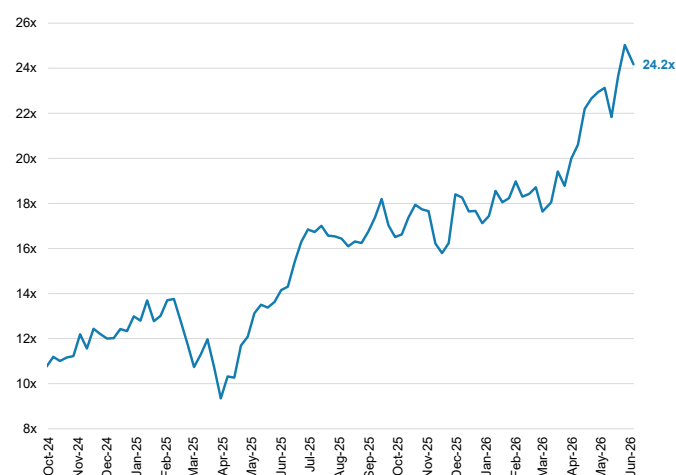
Exhibit 35: Based on our FY27 non-GAAP gross margin forecast, our peer comp regression implies SNX should trade at a target ~10-11x P/E multiple



Source: Factset, Company Data, Morgan Stanley Research

Exhibit 36: EMS peers now trade at an average ~24x P/E multiple.

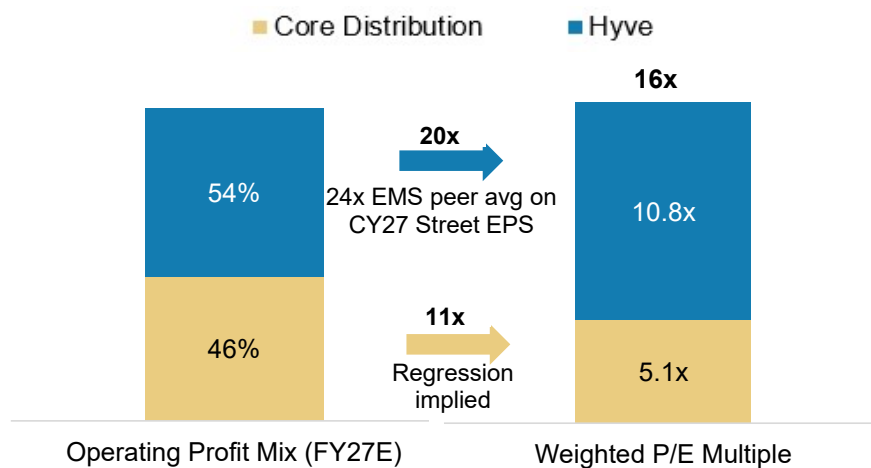
EMS Peers Next Fiscal Year P/E



Source: Company Data, Factset, Morgan Stanley Research. Note: EMS peers include FLEX and JBL.

Exhibit 37:

Assuming a ~20x multiple on SNX's Hyve business and a 11x regression implied multiple on SNX's core distribution business implies a 16x blended P/E multiple.

TD Synnex SoTP Analysis

Source: Company Data, Morgan Stanley Research

Risk Reward – CDW Corporation (CDW.O)

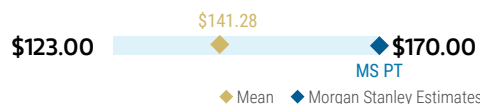
Beneficiary of Robust Enterprise Infra Demand at an Attractive Valuation

PRICE TARGET \$170.00

Our \$170 PT applies a 14x P/E multiple to our 2027e EPS of \$12.15. Our 14x P/E multiple is a discount to history which we believe is warranted given concerns about CDW's competitive positioning and ability to drive operating leverage back to historical levels.

Consensus Price Target Distribution

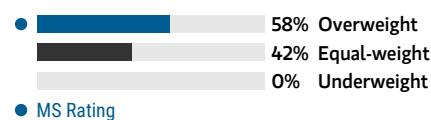
Source: Refinitiv, Morgan Stanley Research



OVERWEIGHT THESIS

CDW is a beneficiary of structurally higher IT spending and robust enterprise infrastructure demand and with valuation near all-time lows. We see an attractive entry point, driving our upgrade to Overweight. We believe CDW is set to outperform relative to the rest of our coverage, as its diversified portfolio allows customers to pivot to growing areas of the IT market.

Consensus Rating Distribution



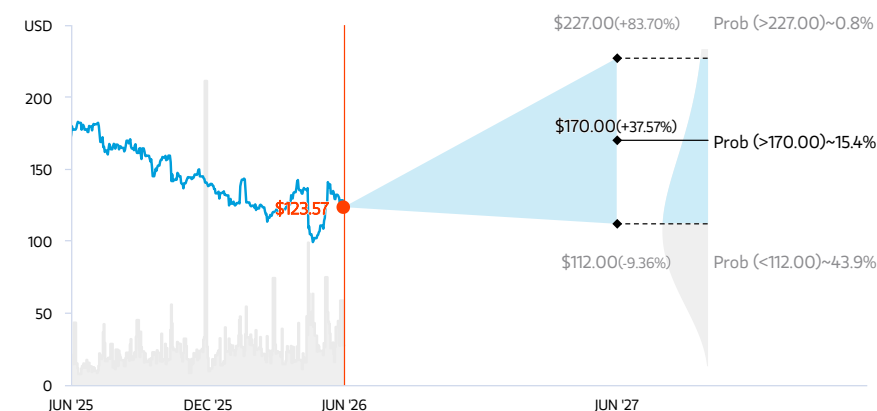
Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 22 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$227.00

17x Bull Case FY27e EPS of \$13.37

CDW begins to re-rate on cloud opportunity and grows above the market in 2026 and 2027. Netted down revenue surpasses 50% of gross profit, which drives a re-rating and pushes margins higher. Enterprise Hardware demand remains stronger for longer allowing CDW to grow revenue low double digits Y/Y in CY26 (vs. +7% Y/Y in our base case) and HSD Y/Y in CY27 (vs. +2% Y/Y in our base case). Shares trade at 17x FY27 EPS of \$13.37.

BASE CASE

\$170.00

14x Base Case FY27e EPS of \$12.15

CDW is a beneficiary of robust enterprise infrastructure demand. CDW benefits from its diversified end-markets, allowing customers to pivot to growing areas of the IT market & a stronger for longer enterprise infrastructure cycle as 20% of revenue comes from servers, storage & networking. Revenue grows 7% Y/Y in 2026 and 2% Y/Y in CY26. Our PT applies 14x P/E to our FY27 EPS of \$12.15.

BEAR CASE

\$112.00

10x Bear Case FY27e EPS of \$11.18

Enterprise hardware spending deteriorates meaningfully throughout 2026 into 2027, driving mid-teens revenue declines. Macro uncertainty causes downward revisions to US IT market growth and/or CDW fails to outperform. CDW is unable to raise prices to the degree that it would fully offset higher memory cost driven vendor prices, and gross margins contract by over 100bps Y/Y. CDW trades to 10x, which on \$11.18 of bear case EPS, drives our \$112 bear valuation.

Risk Reward – CDW Corporation (CDW.O)

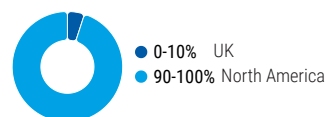
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Revenue Growth (Y/Y) (%)	6.8	7.2	2.3	3.5
Gross Margin (%)	21.7	21.3	21.9	22.1
Non-GAAP Operating Margin (%)	8.9	8.7	9.0	9.2
Non-GAAP EPS Growth (Y/Y) (%)	5.2	9.5	10.8	10.1

INVESTMENT DRIVERS

- US IT budget growth / declines
- Commercial and public sector PC demand
- IT spending as a % of capex
- Share gains / losses
- Memory inflation results in demand destruction from higher prices

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- IT market growth accelerates above expectations
- PC refresh extends through 2026
- Unexpected growth opportunities emerge
- Netted down mix shift drives GM expansion

RISKS TO DOWNSIDE

- Hardware demand remains weaker for longer
- Macro uncertainty results in further Hardware budget cuts in 2026
- Memory-related vendor price increases cannot be fully passed on, pressuring margins
- Cloud adoption cannibalizes on-prem spend

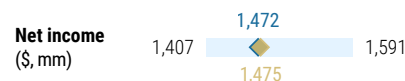
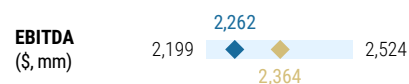
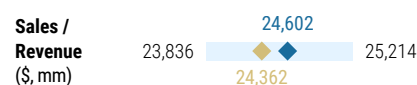
OWNERSHIP POSITIONING

Inst. Owners, % Active	56.9%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

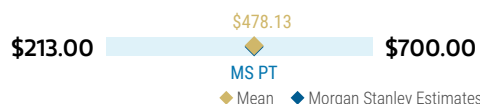
Risk Reward – Dell Technologies Inc. (DELL.N)

An AI Infrastructure Winner Taking Share and Pricing B/C Of Supply Chain Mgmt

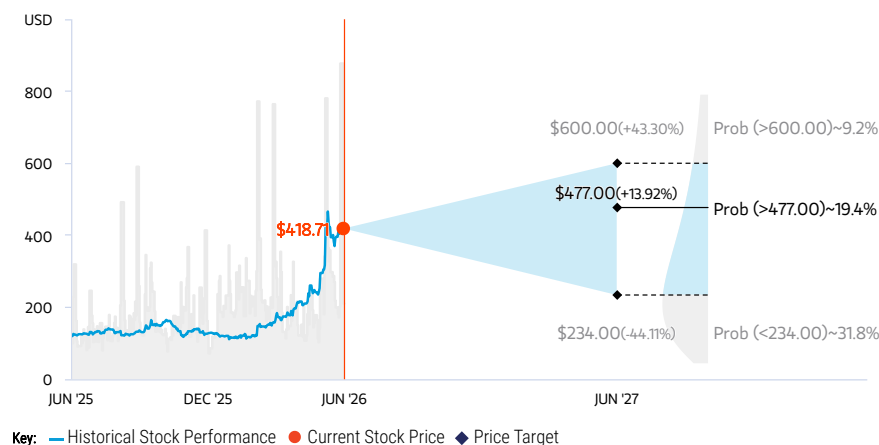
PRICE TARGET \$477.00

Our \$477 PT is based on a 20x P/E multiple on FY28 (CY27) EPS of \$23.83. This is 2x turns above DELL's prior peak valuation (and well-ahead of TSY average valuation) to account for premium revenue/EPS growth & scarcity value vs. peers that are not executing to the same degree as DELL. We are hesitant to ascribe a meaningfully higher multiple given there are still uncertainties that exist around the magnitude and duration of current growth rates.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

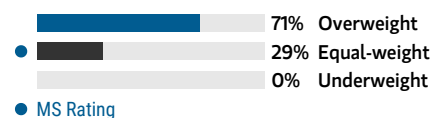


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 22 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

Despite myriad supply chain headwinds, DELL is rising to the challenge. Not only is DELL benefitting from the AI infra buildout in ways peers aren't, their supply chain management is driving share gains across every market they participate in. We now assume the memory supercycle plays a minimal role on DELL results for the next 2 years before DELL sees a modest ISG correction in FY29, resulting in over \$23.80 of EPS power in FY28. However, shares have outperformed meaningfully YTD and uncertainty on the pace, magnitude and duration (+pull-forward) of the AI infra buildout remain, and thus we are EW-rated, which balances industry leading execution with some of this uncertainty.

Consensus Rating Distribution



Risk Reward Themes

New Data Era: *Positive*
Pricing Power: *Positive*
Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$600.00

24x FY28 bull case EPS of \$25.00

Demand exceeds supply through CY28 (FY29). The durability of infrastructure demand carries over into CY29, or a 3+ year spending upcycle, unprecedented since the dot.com buildout. PCs also grow more durably than expected. Given these facts + DELL's sustained pricing power due to better supply management vs. peers, DELL grows EPS 2.5x in 2 years. We ascribe a premium to the market multiple, or 24x P/E given well-above trend growth, which has greater duration than past cyclical peaks.

BASE CASE \$477.00

20x FY28 base case EPS of \$23.83

What memory cycle? Capturing share, holding margins + leading the multi-year infra buildout.

DELL is managing scare semiconductor supply better than peers, and as a result is taking share, capturing mission critical demand, and seeing pricing power. This results in over 100% Y/Y EPS growth in CY26, with growth (albeit tempered) continuing into CY27. We assume a modest downcycle in 2028, but given scarcity value vs. peers, we assume DELL trades to 20x P/E, 2x turns above historical peak.

BEAR CASE \$234.00

14x FY28 bear case EPS of \$16.68

Pull forward > demand sustainability as the cycle turns in CY27. Even in our bear case we now assume DELL exits CY26 with demand outpacing supply, given DELL's favorable supply positioning vs. peers. But memory inflation and pull-forward come to fruition in CY27. PCs decline Y/Y and Server growth rolls-over in C2H27. As a result, we see more margin pressure than assumed in our base case. Given P/E valuation tracks EPS revisions, we assume P/E contracts to 14x, or 2x turns above recent avg.

Risk Reward – Dell Technologies Inc. (DELL.N)

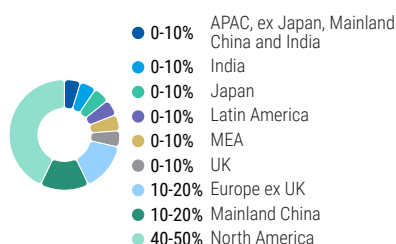
KEY EARNINGS INPUTS

Drivers	Jan 2026	Jan 2027e	Jan 2028e	Jan 2029e
Revenue Growth (Y/Y) (%)	18.8	80.7	11.9	(10.0)
Non-GAAP Gross Margin (%)	20.4	16.2	15.2	15.9
Non-GAAP Operating Margin (%)	8.8	8.6	8.4	8.6
FCF (\$M) (\$, mm)	8,552	15,283	14,876	15,171

INVESTMENT DRIVERS

- (+) Notable AI Server wins with AI Labs/CSPs
- (+) Faster time to mkt with leading NVDA chips than peers
- (+) Continued share gains in Servers, Storage and PCs
- (-) Pull-forward slows/demand rolls over; elevated discounting catalyzes "peak" EPS concerns

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Enterprise AI spending drives sustainability in the current cycle into FY29.
- Edge AI is reinvigorated by NVDA's new workstation launch (halo effect).
- Internal opex savings drives consistent opex declines

RISKS TO DOWNSIDE

- AI Capex cycle slows
- Supply scarcity value and pull-forward start to decelerate resulting in NTM EPS rolling over sooner than modeled.
- Enterprise IT demand cannibalized by cloud workload migration

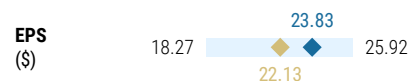
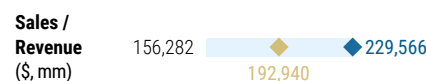
OWNERSHIP POSITIONING

Inst. Owners, % Active	44.6%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jan 2028e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Hewlett Packard Enterprise (HPE.N)

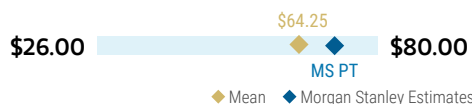
Remain Equal-weight on Longer-Tailed Re-Rating

PRICE TARGET \$71.00

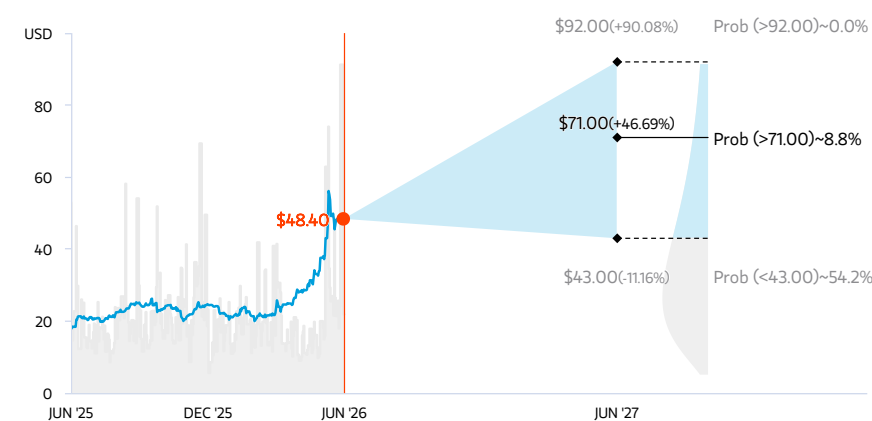
Our \$71 price target assumes a 17x target multiple on FY27e EPS of \$4.17. 17x is a premium vs. T10Y average, which we believe is warranted given a sustainable level of remarkably strong server demand dynamics into FY27.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



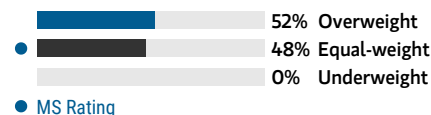
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 22 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

HPE stands to benefit from a larger networking business (higher growth and margin) following the acquisition of Juniper, however we believe this opportunity is longer-tailed. In the near-term, we believe server strength will persist as demand exceeds supply amid constrained supply chains. Therefore, a more premium 17x P/E multiple on HPE (but lower than server peer DELL) given unprecedented server demand dynamics, which becomes our new target multiple, supports our \$71 price target.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Negative*
New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$92.00

20x Bull Case FY27e EPS of \$4.59

Juniper acquisition commands higher multiple; AI Server meaningful catalyst. Demand proves persistent, and Juniper acquisition is accretive beyond expectations, allowing HPE to accelerate cost synergies. AI proves a meaningful catalyst in NTM, while Intelligent Edge accelerates both organically and inorganically as networking demand is stronger for longer. We assume a 20x multiple on FY27 bull case EPS, as greater server demand and larger networking business commands higher multiple.

BASE CASE

\$71.00

17x FY27e EPS of \$4.17

Mix shift to higher growth & margin networking drives accelerating top/bottom-line growth. Revenue growth accelerates to 30%+ in FY26, driven by pricing power on strong server demand and double digit growth in Networking driven by growth across Aruba and Juniper Networking. Positive mix shift & cost synergies, partially offset by higher memory costs drive Y/Y margin expansion. Our PT applies 17x P/E to our FY27 EPS of \$4.17.

BEAR CASE

\$43.00

12x Bear Case FY27e EPS of \$3.55

Macro weighs on spend & Juniper integration takes longer than expected. A recession in CY26 causes a double dip in enterprise budget cuts, & organic HPE revenue declines Y/Y in FY26 and FY27. Juniper acquisition falls short of expectations & HPE is only able to realize ~\$300M of cost synergies over the N3Y (vs. \$600M in base case). As a result, HPE sees minimal operating leverage & elevated leverage limits capital returns. HPE trades to 12x P/E our bear case FY27 EPS of \$3.55.

Risk Reward – Hewlett Packard Enterprise (HPE.N)

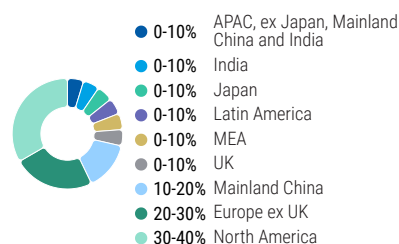
KEY EARNINGS INPUTS

Drivers	Oct 2025	Oct 2026e	Oct 2027e	Oct 2028e
Revenue Growth Y/Y (%)	13.8	34.1	12.6	0.5
Gross Margin (%)	31.5	35.8	35.1	33.9
Operating Margin (%)	9.8	13.5	14.5	13.9
Billings Growth Y/Y (%)	17.7	33.3	9.0	73.3
FCF Growth Y/Y (%)	(79.8)	1,163.0	(2.1)	(15.9)

INVESTMENT DRIVERS

- Sustainable acceleration in shift to a subscription model
- Intelligent Edge and HPC & MCS growth outpaces expectations
- Positive est. revisions as Networking becomes a greater mix of business; pent up demand
- Mgmt raises LT targets at SAM in Oct. '25

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Demand rebounds quicker than expected
- Margin upside from more robust cost savings and share gains
- AI benefit to HPC / HPE Compute Business

RISKS TO DOWNSIDE

- Weak enterprise hardware demand proves more secular than cyclical
- Public cloud migration accelerates declines in legacy business
- Pricing deteriorates in compute / storage
- Juniper integration (and cost synergies) takes longer than expected

OWNERSHIP POSITIONING

Inst. Owners, % Active	46.2%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Oct 2027e

Sales / Revenue (\$, mm)	48,352	51,778	56,363
		50,067	

Net income (\$, mm)	4,165	5,863	6,769
		5,735	

EPS (\$)	3.69	4.17	4.76
		4.04	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Ingram Micro (INGM.N)

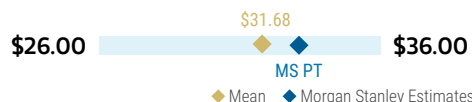
Beneficiary of Higher IT Spending And Margin Expansion Long-Term

PRICE TARGET \$33.00

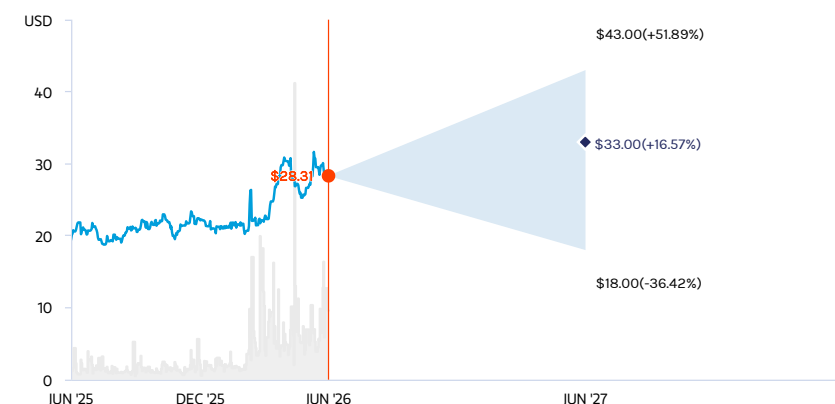
Our \$33 PT is based off of a 9x P/E multiple on our CY27 MS-defined EPS of \$3.62. At 9x, INGM would trade at a ~1-2x turn discount to our target P/E multiple on TD Synnex's Distribution business given lower topline growth, weaker operating margins, lower FCF conversion & cap returns vs. SNX as well as private equity overhang.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



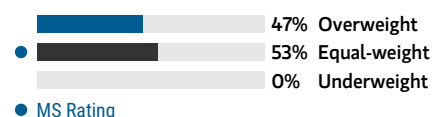
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

INGM is a beneficiary of structurally higher IT spending. Long-term, we believe ~3% growth through cycle is sustainable, however it lags core peer SNX across growth, margins and FCF conversion. We apply a 9x target P/E multiple on our CY27 MS-defined EPS of \$3.62 which drives our \$33 PT. At 9x, INGM would trade at a ~1-2x turn discount to our target P/E multiple on TD Synnex's Distribution business given lower topline growth, weaker operating margins, lower FCF conversion & cap returns vs. SNX as well as private equity overhang.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: Positive
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$43.00

10x Bull Case CY27 EPS of \$4.28

Revenue grows towards the high end of MSD long-term, closer to annual IT spending growth of 10% through 2028. Xvantage drives share gains, and Advanced Solutions and Cloud become larger contributors to revenue, which combined with greater opex discipline and operational efficiency, push operating and adj. EBITDA margins above core comp TD Synnex in 2026. Shares trade to 10x our CY27 Bull case EPS of \$4.28.

BASE CASE

\$33.00

9x CY27 MS-defined EPS of \$3.62

INGM compounds revenue at a 3% CAGR long-term. Gradual mix shift towards higher margin AS & Cloud revenue helps to push gross margins to 6.69% in CY26 and 7.12% in CY27, partially offset by lower margin GPU deals. Our \$33 PT is based off of a 9x P/E multiple on our CY27 MS-defined EPS of \$3.62. At 9x, INGM would trade at a ~1-2x turn discount to our target P/E multiple on TD Synnex's Distribution business given lower topline growth, weaker operating margins, lower FCF conversion & cap returns.

BEAR CASE

\$18.00

6x Bear Case CY27 EPS of \$3.08

Macro uncertainty persists for longer and results in a recession, MSD Y/Y revenue declines in CY26 as enterprises & SMBs continue to push, pause and cancel projects. Cost savings initiatives do not more than offset weak revenue, & investments to scale Xvantage persist into 2027 and beyond, resulting in margin pressure. Shares trade to 6x our CY27 Bear case EPS of \$3.08.

Risk Reward – Ingram Micro (INGM.N)

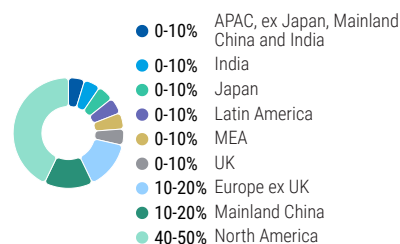
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Revenue Growth (%)	9.5	8.4	0.9	4.0
Gross Margin (%)	6.7	6.7	7.1	7.3
Adj. EBITDA Margin (%)	2.6	2.5	2.8	3.1
MS-Defined EPS (Non-GAAP)	2.2	2.8	3.6	4.3
FCF (\$, mm)	785	(303)	401	622

INVESTMENT DRIVERS

- IT spending growth
- Commercial PC refresh demand
- Positive mix shift to Advanced Solutions & Cloud drives gross margins higher
- Net margins expand on opex discipline + automation
- Share gains
- Private equity overhang is removed

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- IT market growth accelerates above expectations
- Xvantage drives share gains
- Advanced Solutions & Cloud become >50% of revenue
- Stronger margin expansion through mix shift + cost cuts

RISKS TO DOWNSIDE

- Hardware demand remains weaker for longer
- Macro uncertainty weighs on an IT spending recovery through 2026
- Memory inflation results in demand destruction
- Fierce competitive pressures already razor thin margins

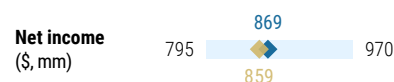
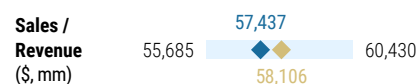
OWNERSHIP POSITIONING

Inst. Owners, % Active	95.8%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – TD Synnex Corporation (SNX.N)

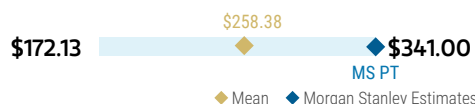
The Chaos Quotient: Beneficiary of Higher IT Spending & Exposure To Cloud Capex

PRICE TARGET **\$341.00**

Our \$341 price target assumes TD Synnex trades to 16x our FY27 EPS of \$21.33, a premium valuation vs. peers given a stronger topline growth and operating leverage in excess of core distribution peers. This implies an 11x P/E multiple on SNX's core distribution business - largely in-line with IT distribution/VAR peers and what is implied by our comp regression, and a 20x P/E multiple on SNX's Hyve business - a slight discount to larger EMS peers.

Consensus Price Target Distribution

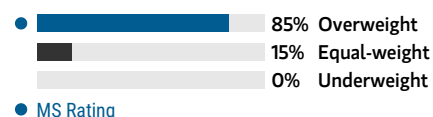
Source: Refinitiv, Morgan Stanley Research



OVERWEIGHT THESIS

Long-term IT spending strength and an increasingly complex IT ecosystem are secular tailwinds for the world's largest IT Distributor, TD Synnex. We believe TD Synnex is one of the more compelling long-term secular beneficiaries in IT Hardware space given scale benefits, exposure to cloud infra spend (Hyve), solid execution, and cost efficiencies, which we believe supports above-peer growth/margins, and a premium valuation. Long-term, we believe 10% gross billings growth through-cycle is sustainable, and see a path to margin expansion.

Consensus Rating Distribution



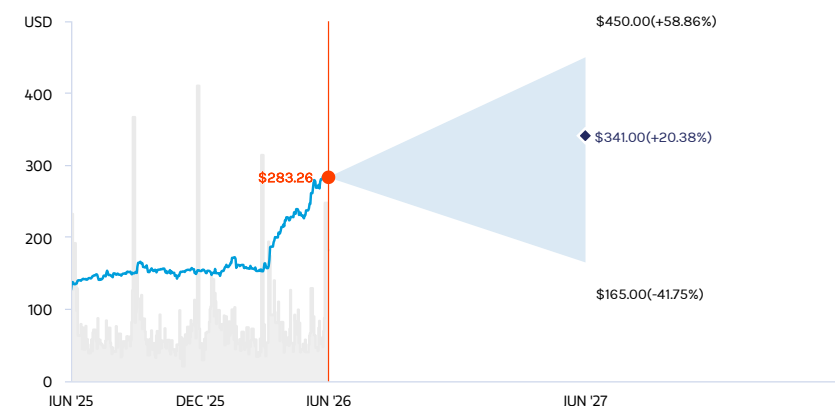
Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

BULL CASE **\$450.00**

18x Bull Case FY27 EPS of \$25.00

Core Distribution grows low double digits Y/Y in FY27 while Hyve grows annual gross billings by 100%+ Y/Y as new customer wins ramp faster than expected and surpasses 70% of operating profit. A stronger topline outlook combined with greater spending efficiency drive operating leverage in the model. Shares trade to 18x our FY27 Bull case EPS of \$25.

BASE CASE **\$341.00**

16x Base Case FY27 EPS of \$21.33

Gross billings grows at a 19% Y/Y in FY26 and 16% Y/Y in FY27, driven by 12%/3% Y/Y growth in Core Distribution & 67%/74% Y/Y growth in Hyve Solutions. Hyve grow revenue growth accelerates Y/Y, which comes at a lower cost to serve vs. Distribution, which combined with greater spending efficiency drives slight OPM expansion Y/Y despite memory inflation headwinds. Shares trade to 16x our FY27 non-GAAP EPS of \$21.33.

BEAR CASE **\$165.00**

8x Bear Case FY27 EPS of \$16.50

Revenue declines LSD Y/Y in FY27, as hardware demand is challenged by higher memory-induced prices and TD Synnex loses distribution market share. Gross margins contract Y/Y as a lower mix of Hardware is more than offset by margin pressure from higher input costs. Opex grows HSD Y/Y (vs. +LSD Y/Y in our base case), which drives Y/Y operating margin compression in FY27. Shares trade to 8x P/E, largely in-line with the April '25 bottom.

Risk Reward – TD Synnex Corporation (SNX.N)

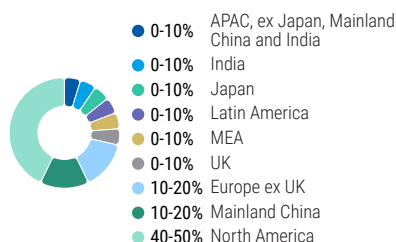
KEY EARNINGS INPUTS

Drivers	Nov 2025	Nov 2026e	Nov 2027e	Nov 2028e
Revenue Growth (%)	6.9	12.3	13.0	7.0
Gross Margin (%)	7.0	7.1	7.2	7.3
Adj. EBITDA Margin (%)	3.0	3.4	3.3	3.4
FCF (\$, mm)	1,389	1,289	1,242	1,769

INVESTMENT DRIVERS

- IT spending growth
- Distribution market share gains
- Exposure to fast-growing cloud infra spend via Hyve
- Positive mix shift drives gross margins higher
- Stronger topline growth and greater spending efficiency can drive op leverage & margin expansion

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- IT market growth accelerates above expectations
- Hyve surpasses 60% of gross billings (vs. 27% today)
- Stronger margin expansion through mix shift + cost cuts

RISKS TO DOWNSIDE

- Memory inflation cannibalizes Hardware demand
- Macro uncertainty weighs on an IT spending recovery
- Cloud cannibalization weighs on on-prem tech
- Fierce competition & memory inflation pressures already razor thin margins

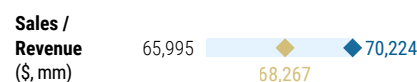
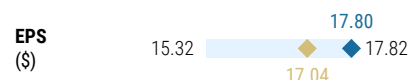
OWNERSHIP POSITIONING

Inst. Owners, % Active	54.1%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Nov 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

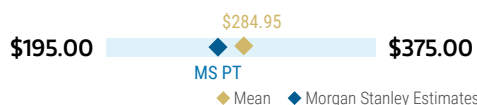
Risk Reward – IBM (IBM.N)

Equal-Weight Rating Balances All-Time High Valuation With Quantum Optionality

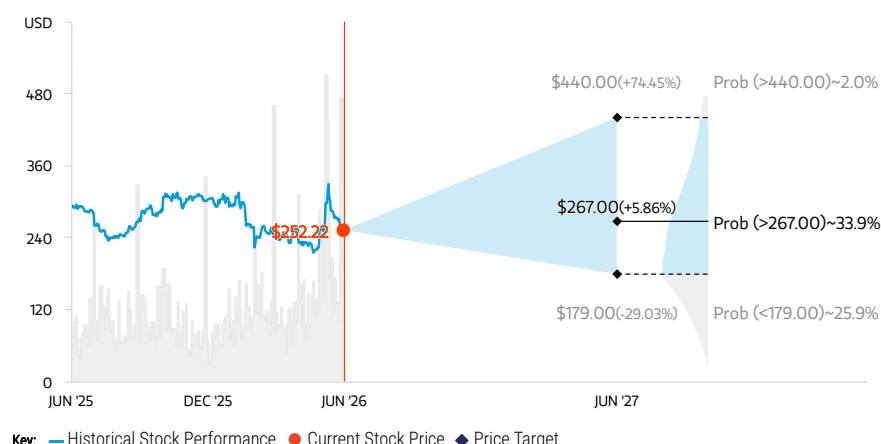
PRICE TARGET \$267.00

Our \$267 price target reflects a 16.1x P/FCF 2026 multiple of \$16.56 FCF/share, and implies IBM trades in-line with software and consulting peers on a growth adjusted basis.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

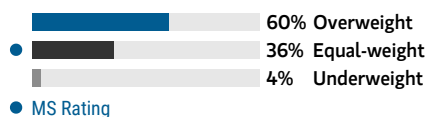


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 22 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

IBM has gained credit for driving more consistent performance in recent years and shifting its portfolio to more recurring Software and Services. The acquisition of HashiCorp combined with a mainframe/ELA cycle is resulting in growth accelerating in 2025, but also creates risk of a deceleration in 2026. This risk, among others, is what supports our \$267 price target. Yet, the market is clearly also focused on Quantum, and given the re-rating we have seen from pure-play quantum stocks, IBM's early Quantum leadership has upside optionality. Balancing these facts is what drives our EW-rating, with mis-execution the key bear case risk.

Consensus Rating Distribution



Risk Reward Themes

New Data Era: *Positive*
Pricing Power: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$440.00

25.5x P/FCFe of CY26 \$17.29/share (ex-receivables)

IBM Quantum becomes more material to the model. General consensus is that IBM has a seat at the gen-AI and Quantum table, and customer wins/revenue outpaces expectations. IBM accelerates Consulting & Software growth, as competitive positioning improves on the core business. Additionally, quantum adds \$180B in Enterprise Value on top of our base case valuation, and as a result, shares re-rate to 25.5x P/FCFe 2026 on \$17.29/share.

BASE CASE \$267.00

16.1x P/FCFe of CY26 \$16.56/share (ex-receivables)

Stable fundamentals drives 6% Y/Y revenue growth at CC and 7% Y/Y FCF growth in CY26. Consulting grows 2.5% Y/Y at CC due to green shoots in IT services and easy comps, Software grows 11.2% Y/Y at CC due to extended ELA cycle renewal in 2026, Infrastructure increases 0.8% Y/Y at CC. AI Consulting bookings gradually become additive to Consulting revenue growth. We forecast 6% Y/Y revenue growth at CC. We value IBM at 16.1x P/FCF 2026 of \$16.56/shr.

BEAR CASE \$179.00

11.1x P/FCFe of CY26 \$16.06/share (ex-receivables)

Tough macro environment leads to budget cuts, and IBM FCF grows 4% Y/Y CC in CY26. RHT growth slows due to share loss, and acquisitions in Software fail to increase portfolio relevancy, driving core growth to decelerate faster than expected. ELA cycle in 2026 also fails to materialize. IT Services spend does not rebound due to mis-execution, causing Consulting revenue to decline. Spend on mainframe is significantly cut due to irrelevancy of new mainframe launch to enterprises.

Risk Reward – IBM (IBM.N)

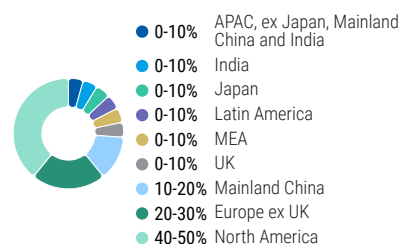
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Constant Currency Revenue Growth (Y/Y) (%)	6.1	6.2	4.0	6.3
Software CC Revenue Growth (Y/Y) (%)	9.1	11.2	8.9	0.0
PTI Margins (Y/Y) (%)	18.823	19.512	20.054	0.000
FCF Growth (Y/Y) (%)	15.6	7.7	6.7	11.1

INVESTMENT DRIVERS

- (+) Sustained/multi-year topline growth
- (+) Strategic divestitures and/or acquisitions
- (+) Positive FCF surprises
- (-) Decelerating SW/Consulting growth below medium-term model
- (-) Margins pressure earnings and FCF

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Strength in Gen AI adds incremental growth to SW and Consulting
- Consulting growth surprises positively
- Incremental M&A accelerates growth
- IBM upsides on FCF
- Demonstrated commercial success in Quantum

RISKS TO DOWNSIDE

- Macro disruption leads to deal elongation
- Accelerated cannibalization of on-prem software
- AI cannibalizes/disrupts core Consulting
- Organic SW growth undergrows 7% target
- Lack of M&A contribution

OWNERSHIP POSITIONING

Inst. Owners, % Active	41.1%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (\$, mm)	70,765		72,299
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Net income (\$, mm)	10,458		11,882
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EPS (\$)	12.10		12.69
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◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

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Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Erik W Woodring.

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The analyst or strategist (or a household member) identified below owns the following securities (or related derivatives): Maya C Neuman - Apple, Inc.(common or preferred stock).

As of May 29, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Adobe Inc., Akamai Technologies, Inc., Appian Corp, Apple, Inc., Asana Inc, Atlassian Corporation PLC, Autodesk, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, CDW Corporation, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, Cricut Inc, CrowdStrike Holdings Inc, Datadog, Inc., Dell Technologies Inc., Descartes Systems Group Inc, DocuSign Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Garmin Ltd, Gen Digital Inc., GitLab Inc, GoDaddy Inc, Hewlett Packard Enterprise, HP Inc., HubSpot, Inc., IBM, Intuit, Klaviyo, Inc, Kornit Digital Ltd., LegalZoom.com Inc, Lightspeed Commerce Inc., Liveramp Holdings Inc, Logitech International SA, Manhattan Associates Inc., Microsoft, monday.com Ltd, MongoDB Inc, Nebius Group NV, NetApp Inc, NICE Ltd., Okta, Inc., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, Resideo Technologies Inc, RingCentral Inc, Sabre Corp, Salesforce, Inc., Samsara Inc, Seagate Technology, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, SmartRent, Inc., Snowflake Inc., Sonos Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Teradata, Toast, Inc., Twilio Inc, UiPath Inc, Vertex Inc., Western Digital, Wix.Com Ltd, Workday Inc, Zoom Communications, ZoomInfo Technologies Inc.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Akamai Technologies, Inc., Check Point Software Technologies Ltd., CoreWeave, Dell Technologies Inc., DigitalOcean Holdings Inc, Figma Inc, Ingram Micro, Intuit, Navan Inc, Nebius Group NV, Netskope, Inc., Salesforce, Inc., ServiceNow Inc, Via Transportation Inc, Wix.Com Ltd.

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Global Stock Ratings Distribution

(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/22/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	\$297.01
CDW Corporation (CDW.O)	O (06/23/2026)	\$123.57
Cricut Inc (CRCT.O)	U (08/12/2021)	\$4.37
Dell Technologies Inc. (DELL.N)	E (06/01/2026)	\$418.71
Everpure, Inc. (P.N)	E (06/11/2024)	\$77.04
Garmin Ltd (GRMN.N)	E (02/18/2026)	\$236.34
GoPro Inc (GPRO.O)	U (12/12/2023)	\$0.74
Hewlett Packard Enterprise (HPE.N)	E (11/16/2025)	\$48.40
HP Inc. (HPQ.N)	U (11/16/2025)	\$23.54
IBM (IBM.N)	E (01/18/2023)	\$252.22
Ingram Micro (INGM.N)	E (06/11/2025)	\$28.31
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	\$16.91
Logitech International SA (LOGI.O)	U (01/20/2026)	\$106.83
NetApp Inc (NTAP.O)	U (01/20/2026)	\$158.31
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	\$31.13
Seagate Technology (STX.O)	O (03/26/2024)	\$1,094.04
SmartRent, Inc. (SMRT.N)	++	\$1.10
Sonos Inc. (SONO.O)	E (11/06/2025)	\$14.32
TD Synnex Corporation (SNX.N)	O (06/11/2025)	\$283.26
Teradata (TDC.N)	O (04/08/2025)	\$29.67
Western Digital (WDC.O)	O (04/16/2025)	\$732.62
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	\$46.61

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* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/22/2026)
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$31.96
Blackline Inc (BL.O)	O (09/29/2024)	\$25.88
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$66.46
Intuit (INTU.O)	O (02/26/2025)	\$257.77
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$128.77
Navan Inc (NAVN.O)	O (11/24/2025)	\$21.66
Samsara Inc (IOT.N)	E (03/23/2023)	\$31.14
SPS Commerce Inc (SPSC.O)	E (11/11/2025)	\$54.86
Vertex Inc. (VERX.O)	O (01/17/2024)	\$10.58
Workday Inc (WDAY.O)	E (02/19/2025)	\$113.04
Elizabeth Porter, CFA		
Adobe Inc. (ADBE.O)	E (09/24/2025)	\$194.90
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$6.46
Autodesk (ADSK.O)	O (08/23/2024)	\$187.72
Figma Inc (FIG.N)	E (08/25/2025)	\$19.08
Five9 Inc (FIVN.O)	E (10/10/2022)	\$18.82
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$8.93
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$74.99
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$172.80
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	\$12.86
LegalZoom.com Inc (LZ.O)	U (07/28/2022)	\$5.48

Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$37.61
NICE Ltd. (NICE.O)	O (10/16/2023)	\$84.07
RingCentral Inc (RNG.N)	E (08/08/2023)	\$34.84
Salesforce, Inc. (CRM.N)	O (12/21/2023)	\$150.12
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$4.95
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$6.40
Twilio Inc (TWLO.N)	O (02/24/2025)	\$183.64
Wix.Com Ltd (WIX.O)	O (01/13/2025)	\$41.86
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$18.47
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$2.65
Josh Baer, CFA		
Asana Inc (ASAN.N)	U (05/20/2025)	\$6.75
Box Inc (BOX.N)	E (05/21/2024)	\$24.36
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$4.29
Commerce.com Inc. (CMRC.O)	++	\$2.63
CoreWeave (CRWV.O)	E (04/22/2025)	\$111.29
Coursera, Inc. (COUR.N)	E (04/22/2026)	\$5.31
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$166.24
Docebo Inc. (DCBO.O)	E (05/12/2025)	\$16.83
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$42.71
Lightspeed Commerce Inc. (LSPD.N)	E (02/18/2021)	\$9.09
Microsoft (MSFT.O)	O (01/13/2016)	\$367.34
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$70.36
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$283.61
Sabre Corp (SABR.O)	E (03/16/2021)	\$1.82
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$62.57
Shopify Inc (SHOP.O)	O (04/19/2024)	\$107.98
Toast, Inc. (TOST.N)	O (12/16/2021)	\$24.26
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$14.94
Zoom Communications (ZM.O)	E (10/11/2022)	\$84.34
Meta A Marshall		
Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$120.30
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	\$675.44
Fortinet Inc. (FTNT.O)	U (09/02/2025)	\$145.39
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$23.01
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$8.95
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$115.94
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$286.40
Qualys Inc (QLYS.O)	U (02/09/2021)	\$108.51
Rapid7 Inc (RPD.O)	E (08/11/2015)	\$6.34
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$12.63
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$14.74
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$26.34
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$32.71
Zscaler Inc (ZS.O)	E (04/22/2026)	\$124.06
Sanjit K Singh		
Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$120.74
Appian Corp (APPN.O)	E (04/30/2026)	\$19.87
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$79.96
C3.ai (AI.N)	U (01/04/2021)	\$9.70
Cloudflare Inc (NET.N)	O (12/02/2024)	\$218.38
Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$221.37
Dynatrace Inc (DT.N)	E (02/13/2024)	\$40.46
Elastic NV (ESTC.N)	O (12/16/2024)	\$58.73
GitLab Inc (GTLB.O)	E (01/12/2026)	\$25.83

JFrog Ltd. (FROG.O)	O (12/21/2023)	\$79.89
MongoDB Inc (MDB.O)	O (04/12/2023)	\$319.16
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$175.07
PagerDuty, Inc. (PD.N)	E (01/24/2024)	\$8.24
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$119.50
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$93.01
Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$226.59
UiPath Inc (PATH.N)	E (09/07/2022)	\$10.16

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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